

ONEOK, Inc. OKE | Initiation of Coverage | 17 May 2026 | NYSE

Midstream Energy • Natural Gas Gathering, Processing & NGL Transportation • Rand Strategy LLC Equity Research

Last Price \$92.41 15 May 2026	Price Target (12M) \$103.00 Range \$98 - \$108	Price / PT 0.90 Upside to PT	Implied TR +16.0% incl. 4.6% yield	Market Cap \$58.2B 630M sh O/S	Rating BUY Initiating	Net Debt / EBITDA 3.9x Target ≤3.5x	Dividend Yield 4.6% \$4.28 NTM	Credit (M/S/F) Baa2/BBB /BBB All stable
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Investment View	Initiating coverage with a Buy rating and a \$103 price target derived from a sum-of-the-parts build on 2027 EBITDA of \$8.6B at an 11.1x blended multiple, implying ~16% total return including the 4.6% dividend yield. ONEOK is one of the largest North American C-Corp midstream operators, with unusual breadth across NGLs, refined products, crude, and natural gas infrastructure. Q1 2026 delivered \$1.997B in Adjusted EBITDA (+13% YoY); management raised 2026 guidance midpoint to \$8.25B.
Key Catalysts	Q4 2026 Medford Phase 1 startup (~\$70M run-rate EBITDA); Q3 2026 Denver refined products in-service (~\$55M); 2027 deleveraging path inside 3.5x target; 2028 Texas City Logistics LPG export terminal (~\$180M run-rate, 50/50 JV with MPLX) and Eiger Express mid-2028 ramp. Cumulative synergies through Q1 2026 total \$475M of a long-run \$700M+ target.
Key Risks	Permian gas egress relief collapses the Waha-Katy optimization line (\$300-\$400M of 2026 NGP earnings fade through 2028); ethane rejection persistence caps NGL throughput; integration execution on EnLink and Medallion synergies; FERC 2026-2030 refined products indexing review; major operational incident at Mont Belvieu.

Analyst

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Key Data

Sector: Energy
Industry: O&G Midstream
Fiscal YE: December
Index: S&P 500
Net Debt: ~\$32.0B
Enterprise Value: ~\$90B
52W Range: \$64.02 - \$95.30
ADV: ~5.0M shares

Peer Universe

WMB, EPD, TRGP, KMI,
PAA, MPLX, ET

Initiation Summary

ONEOK is one of the largest North American C-Corp midstream operators, with unusual breadth across NGLs, refined products, crude, and natural gas infrastructure. The franchise was reshaped across 28 months by three transactions: Magellan closed in September 2023 at approximately 12.0x; Medallion closed in October 2024 at approximately 6.3x; and the EnLink controlling stake also closed in October 2024 at approximately 8.3x, with the public-unit roll-up completed January 31, 2025. The 2025 outcome was \$8.02B in Adjusted EBITDA (up 18% year-over-year), at approximately 90% fee-based with \$475M of cumulative integration synergies realized.

Q1 2026 delivered \$1.997B in Adjusted EBITDA (up 13% year-over-year), and management raised 2026 guidance by \$100M at the midpoint to \$8.0B-\$8.5B. The stock trades at 11.0x 2026E EBITDA against 14.8x for WMB and 12.5x for KMI; closing half of that gap on integration evidence and the 2028 growth pipeline supports a mid-teens total return.

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1. Investment Summary and Thesis

1.1 One-Paragraph Thesis

ONEOK is one of the largest North American C-Corp midstream operators, with unusual breadth across NGLs, refined products, crude, and natural gas infrastructure. The franchise was reshaped across 28 months: Magellan closed in September 2023 at approximately 12.0x; Medallion closed in October 2024 at approximately 6.3x; the EnLink controlling stake also closed in October 2024 at approximately 8.3x with the public-unit roll-up completed January 31, 2025. The cumulative outcome was an \$8.02B Adjusted EBITDA print in 2025 (up 18% year-over-year, per company disclosure), with approximately 90% fee-based earnings and approximately \$475M of cumulative integration synergies realized. Q1 2026 delivered \$1.997B in Adjusted EBITDA (up 13% year-over-year), and management raised full-year 2026 guidance by \$100M at the midpoint to \$8.0B to \$8.5B on April 28, 2026. The stock trades at 11.0x 2026E EBITDA versus 14.8x for WMB and 12.5x for KMI (per consensus, May 2026); closing half of that gap on integration evidence and the 2028 growth pipeline supports a mid-teens total return over twelve months.

1.2 Key Investment Highlights

The central investment case rests on the unusual breadth of the operating footprint: meaningful scale across four product streams (natural gas, NGLs, refined products, crude) and four basins (Williston, Permian, Mid-Continent, Powder River) under one operating roof. Fee-based EBITDA stands at approximately 90% in 2025, materially above peer averages, and is structurally rising as integration of EnLink and Medallion shifts mix toward demand charges and minimum volume commitments. Approximately 75% of the residual commodity exposure is hedged for 2026, narrowing earnings sensitivity to NGL and gas price moves.

Volume growth in 2026 is supported by four discrete drivers. First, the Shadowfax 150 MMcf/d processing plant relocated to the Midland Basin and started up in Q1 2026, with another 110 MMcf/d of Delaware expansion targeted for Q3 2026. Second, the Cutter 60 MMcf/d plant in the Powder River Basin starts in Q4 2026. Third, the \$480M Denver refined products expansion (35 Mb/d of incremental capacity on a fully subscribed 230-mile pipeline) reaches in-service in mid-Q3 2026. Fourth, EnLink and Medallion synergy capture continues, with approximately \$150M of incremental synergies expected to flow through 2026 toward a long-run target run-rate of \$700M-plus.

The balance sheet target is a leverage ratio of 3.5x or below by 2027. Year-end 2025 leverage stood at approximately 3.9x; we forecast 3.7x to 3.8x by year-end 2026 and 3.3x by year-end 2027 as \$8.8B of EBITDA combined with approximately \$1.5B of net debt paydown moves the ratio inside target. Dividend growth is policy-set at 3% to 4% annually, with the next increase targeted for early 2027. The \$2.0B share repurchase authorization from January 2024 has been used sparingly (approximately \$220M cumulative through Q1 2026); we model \$250M in 2026 and \$750M in 2027 as growth capex begins to fall.

Strategic asset positioning matters most in three places. In the Bakken, ONEOK gathers and processes approximately 47% of basin gas volume (third-party industry data), with NGL takeaway anchored by the Elk Creek and Bakken NGL Pipelines. In the Permian, the WTLPG NGL pipeline (now approximately 740 Mb/d after mid-2025 pump station additions) and the Medallion crude gathering system (1,200-plus miles, 1.3 MMb/d capacity on 100% fee contracts) provide layered fee capture from wellhead to Gulf Coast. In Mont Belvieu, the company operates 11 fractionators at approximately 1.15 MMb/d net capacity plus approximately 40 MMb of NGL storage, with the new MB-6 unit (125 Mb/d) commissioned in December 2024 creating headroom for the 2028 Texas City Logistics export terminal feed.

The M&A optionality and integration track record warrants its own line in this section. The Magellan deal looked rich at 12.0x in 2023; on a synergy-adjusted basis the entry multiple compresses toward roughly 9.5x today. Medallion at 6.3x and EnLink at a blended 9.5x have been clean integrations. The market discount embedded in OKE's current multiple reflects skepticism about whether the company will continue acquiring at premium prices rather than returning capital; we believe the deal pipeline has cooled and that 2026 is a deleveraging-and-buyback year.

1.3 Bull, Base, and Bear Case Framework

The base case rests on \$8.6B in 2027E Adjusted EBITDA, an 11.1x blended SOTP multiple, and disciplined deleveraging to 3.3x. The bull case adds synergy upside, Texas City Logistics optionality coming into view in 2027 (the project starts up in early 2028), and accelerated buybacks. The bear case is anchored on optimization fade, ethane rejection persistence, and a leverage drift back toward 4.0x.

Scenario	2027E EBITDA	Multiple	Equity Value	Price Target	Return	Probability
Bull	\$9.1B	11.8x	\$66.4B + \$5B options	\$113	+22%	30%
Base	\$8.6B	11.1x	\$64.7B	\$103	+11%	50%
Bear	\$8.3B	10.0x	\$44.8B	\$71	(23%)	20%
Spot	—	—	—	\$92.41	—	—

The probability weights reflect asymmetric risk-reward: downside is approximately 23% to the bear case and upside of approximately 22% to the bull case, with optionality on Texas City Logistics, Medford Phase 2, and Eiger Express that is not yet in 2027 sell-side numbers.

Bull / Base / Bear Price Target Scenarios

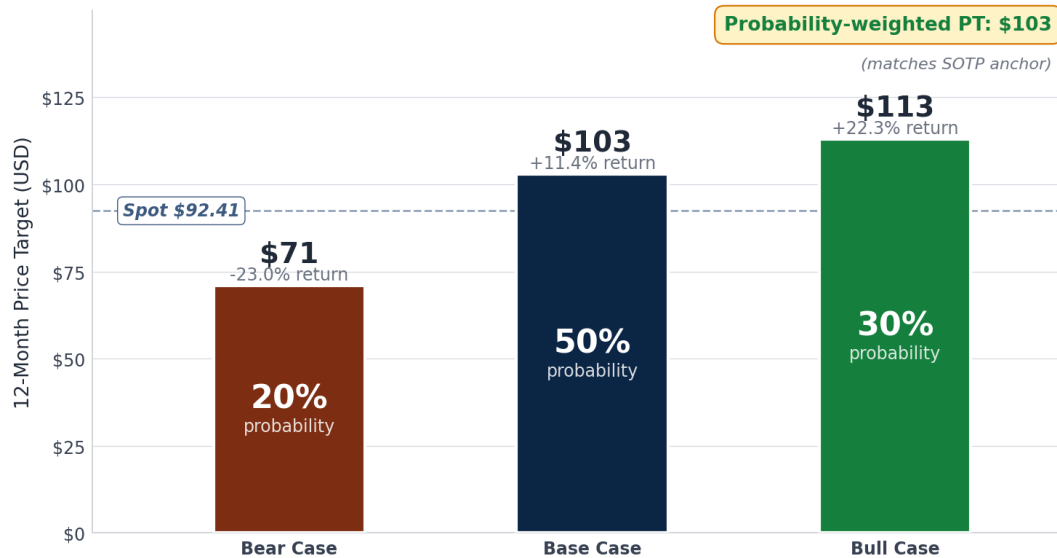


Exhibit 1. Bull, base, and bear scenarios with probability weights; spot reference at \$92.41.

1.4 Rating, Price Target, and Return

We rate ONEOK Buy with a \$103 price target. The target anchors on a sum-of-the-parts build applying segment-level multiples to 2027E Adjusted EBITDA of \$8.6B; the SOTP output of \$103 is cross-checked against a two-stage DCF at \$98 and a multi-stage dividend discount model at \$98, and the convergence of three independent methods inside a \$5 band gives us the conviction to publish a single number rather than a range. While the 11.1x blended exit multiple sits in line with the diversified-midstream cohort average, it remains 1.4 turns below the WMB-KMI gas-pipeline complex; the discount is defensible today and compressible over twelve months as the 2024-2025 acquisition vintage proves out. The OKE-versus-KMI gap of 1.4 turns is the harder portion to defend given comparable scale, comparable C-Corp tax structure, and similar leverage; closing half of that gap on integration evidence would add approximately \$6B of enterprise value, or \$9 per share. The \$103 anchor accommodates probability-weighted bull-base-bear cases at 30% / 50% / 20% with corresponding price outcomes of \$113, \$103, and \$71. Implied total return of approximately 16% comprises an 11.4% capital return plus the 4.6% NTM dividend yield, with downside to the bear case of approximately 23% versus upside to the bull case of approximately 22%; the asymmetric setup favors longs.

Metric	Value
Rating	BUY
Price Target (12-Month)	\$103.00 (valuation range \$98 - \$108)
Current Price	\$92.41
Implied Capital Return	+11.4%
Dividend Yield (NTM)	4.6%
Implied Total Return	+16.0%
Methodology	EV/EBITDA SOTP primary; DCF and DDM as cross-checks

Source: Company filings; FactSet; Bloomberg; ONEOK investor materials; sell-side consensus; Rand Strategy estimates.

2. Company Snapshot

2.1 Security Data

ONEOK trades on the NYSE under the ticker OKE. The company is a Tulsa-based midstream C-Corporation operating approximately 60,000 miles of pipeline across natural gas, NGLs, refined products, and crude oil. As of May 15, 2026, the shares traded at \$92.41 with a market capitalization of \$58.2B on approximately 630M diluted shares outstanding. The 52-week range is \$64.02 to \$95.30, average daily volume runs approximately 5.0M shares, and the dividend yield is 4.6% on a forward annualized payout of \$4.28. Credit ratings sit at Baa2 (Moody's), BBB (S&P), and BBB (Fitch), all stable.

Field	Value	Source
Ticker / Exchange	OKE / NYSE	NYSE
Sector / Industry	Energy / Oil & Gas Midstream	NYSE
Market Capitalization	\$58.2B	FactSet
Share Price (May 15, 2026)	\$92.41	FactSet
Shares Outstanding (Mar 31)	630.0M diluted	ONEOK Q1 2026 8-K
52-Week Range	\$64.02 - \$95.30	FactSet
Average Daily Volume	~5.0M	FactSet
Dividend Yield	4.6%	Calculated; \$1.07/quarter declared
Forward Dividend	\$4.28	ONEOK Apr 23, 2026 declaration
Credit Ratings (M/S/F)	Baa2 / BBB / BBB; all stable	Moody's, S&P, Fitch
Enterprise Value	~\$90B	Calculated
Net Debt	~\$32.0B	Q1 2026 10-Q
Net Debt / EBITDA (FY2025)	~3.9x	Calculated
Fiscal Year End	December	10-K
Index Membership	S&P 500	S&P

2.2 Key Financial Summary

The financial summary below uses fiscal year ends. Forecast years (FY2026E, FY2027E) reflect our base-case estimates aligned with management guidance midpoints raised April 28, 2026.

Metric (\$M unless noted)	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E
Revenue	17,680	21,698	33,629	37,500	40,200
Adjusted EBITDA	5,243	6,784	8,020	8,250	8,800

Metric (\$M unless noted)	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E
EBITDA Margin (%)	29.7%	31.3%	23.8%	22.0%	21.9%
Operating Cash Flow	3,700	4,888	5,599	6,000	6,400
Diluted EPS (\$)	5.74	5.17	5.42	5.53	5.85
Net Income (Attributable)	2,580	3,035	3,393	3,500	3,720
Net Debt	13,000	24,500	31,500	31,000	28,800
Net Debt / EBITDA (x)	2.5	3.6	3.9	3.8	3.3
Dividend per Share (\$)	3.82	3.96	4.12	4.28	4.46
Total CapEx	1,400	2,021	3,152	2,950	2,700
Maintenance CapEx	330	411	576	575	600
ROIC (after-tax, %)	7.0%	6.5%	6.5%	6.7%	7.1%

Note: revenue margin compression in FY2025 reflects the consolidation of EnLink (high-revenue, lower-margin gathering and processing operations); EBITDA margin is the more comparable metric on a pre- and post-integration basis. The figures are synthesized from ONEOK 10-K (FY2023, FY2024, FY2025), Q1 2026 10-Q and 8-K, and our forward estimates.

2.3 Ownership Structure

Institutional ownership stands at approximately 75% of the float, with the top five holders accounting for approximately 21%. The Vanguard family holds approximately 7.5%, BlackRock approximately 6.0%, State Street approximately 4.5%, Geode approximately 1.8%, and Schwab Investment Management approximately 1.5%. Other notable holders include First Eagle, Morgan Stanley, Invesco, UBS Group, and Capital International. Insider ownership is below 0.2%, consistent with a large-cap C-Corporation rather than founder-controlled MLP. Short interest stands at approximately 2.2% of float, low and consistent with the broader midstream cohort. No active campaign has been disclosed.

The active-versus-passive split skews modestly active, with Vanguard, BlackRock, and State Street together at approximately 18% (predominantly indexed) versus active mutual fund and pension positions accounting for approximately 35% to 40%. Energy-dedicated funds (Energy Income Partners, Tortoise, Kayne Anderson, ALPS, Salient) own approximately 5% to 7% in aggregate.

Source: Company 10-K and 10-Q filings; SEC EDGAR 13F-HR data; FactSet; Bloomberg; Rand Strategy estimates.

3. Business Description and Corporate Structure

3.1 Corporate History and Key Events

ONEOK traces back to Oklahoma Natural Gas Company (1906), one of the earliest U.S. natural gas distribution franchises. The modern entity emerged from the 2014 spin-off of ONE Gas (the regulated LDC business) and the 2017 simplification that took out ONEOK Partners L.P. into a single C-Corporation. The company spent 2017 to 2022 building organic NGL capacity (Elk Creek, Bear Creek, Demicks Lake, Arbuckle II) and Bakken processing. The 2023 to 2025 period was the transformational chapter: three acquisitions totaling approximately \$26B took the franchise from a Bakken-Mid-Continent-focused NGL specialist into a broadly diversified North American midstream operator.

Key transactions in chronological order: Magellan Midstream Partners closed September 25, 2023 at \$18.8B (approximately 12.0x); Easton Energy's Gulf Coast NGL system was acquired in June 2024 for an undisclosed sum (approximately 450 miles of pipeline connecting fractionators to docks); the EnLink Midstream controlling stake from Global Infrastructure Partners closed October 15, 2024 at \$3.3B; Medallion Midstream's Midland Basin crude gathering system closed October 31, 2024 at \$2.6B; the remaining 50% of the Delaware Basin JV was acquired May 1, 2025 for \$550M; the EnLink public unit roll-up completed January 31, 2025 at \$4.3B in stock; and senior notes issuances totaling \$3.0B in August 2025 helped fund the integration capital structure.

Date	Event	Value	Multiple / Note
Sep 25, 2023	Magellan Midstream Partners close	\$18.8B	~12.0x LTM EBITDA

Date	Event	Value	Multiple / Note
Jun 2024	Easton Energy Gulf Coast NGL system	Undisc.	~450 miles of pipe to docks
Oct 15, 2024	EnLink controlling stake plus GP	\$3.3B	~8.3x including synergies
Oct 31, 2024	Medallion Midstream (Midland crude)	\$2.6B	~6.3x; 1.3 MMb/d capacity
Jan 31, 2025	EnLink public-unit roll-up	\$4.3B	All-stock; ~10.8x LTM
May 1, 2025	Delaware Basin JV remaining 50%	\$550M	Full operational control
Aug 2025	\$3.0B senior notes issuance	\$3.0B	Integration capital structure
Nov 24, 2025	Eiger Express upsize to 3.7 Bcf/d	n/a	Long-term subscribed
Apr 2026	\$1.2B term loan + July 2026 notes refi	\$1.2B	Refi \$491M of 4.85% notes

3.2 Organizational Structure and Management

The legal entity is ONEOK, Inc., a Delaware corporation, with EnLink Midstream LLC consolidated as of Q4 2024 and Medallion Midstream LLC as of November 2024. Material operating subsidiaries include ONEOK Hydrocarbon LP (NGL operations), ONEOK Field Services (gas G&P), Magellan Midstream Partners LP (refined products and crude), and EnLink Midstream Operating LP (Permian and Louisiana G&P). The corporate structure avoids the K-1 distribution mechanics that historically constrained MLP institutional ownership, but the C-Corp election introduces entity-level taxation. Management guides to no meaningful federal cash taxes until 2029 due to the depreciation profile of recent acquisitions and the 100% bonus depreciation made permanent under the One Big Beautiful Bill Act of July 2025.

The senior management team. Pierce H. Norton II has served as President and CEO since 2021, with prior tenure as CEO of ONE Gas. He assumed Chair of EnLink Midstream Manager LLC on October 15, 2024. Walter S. Hulse III has been CFO since 2022 and oversees corporate development; he previously led strategy. Randy J. Lentz became COO in January 2025 following the Medallion close; he had previously served as CEO of Medallion Midstream. The Lentz appointment is consequential: it places a Permian crude operator at the operations seat at a moment when Permian integration is the primary execution challenge. Sheridan C. Swords is Chief Commercial Officer (NGL legacy); Mary M. Spears is Chief Accounting Officer; Stephen W. Lake is General Counsel.

The board expanded to twelve members on January 23, 2026 with the addition of Mark A. McCollum (former CFO of Halliburton and Weatherford) and Precious Williams Owodunni (CEO of Mountaintop Consulting). Eleven of twelve directors are independent. Tenure averages approximately seven years. CEO pay mix is roughly 12% base salary, 18% short-term incentive, 70% long-term incentive (predominantly performance share units tied to relative TSR and earnings growth).

Role	Name	Background	Tenure
President & CEO	Pierce H. Norton II	Former CEO of ONE Gas; Chair of EnLink Midstream Manager LLC	Since 2021
CFO	Walter S. Hulse III	Oversees corporate development; previously led strategy	Since 2022
COO	Randy J. Lentz	Former CEO of Medallion Midstream; Permian crude operator	Since Jan 2025
Chief Commercial Officer	Sheridan C. Swords	NGL legacy senior executive	Long-tenured
Chief Accounting Officer	Mary M. Spears	Senior finance leadership	Long-tenured
General Counsel	Stephen W. Lake	Legal and regulatory	Long-tenured

3.3 Reportable Segments

The company reports four segments. The Natural Gas Liquids segment is the historical core and the largest by EBITDA contribution. The Refined Products and Crude segment was created in Q4 2023 with the Magellan close. The Natural Gas Gathering and Processing segment was materially expanded by EnLink and Medallion. The Natural Gas Pipelines segment is the smallest but the most contracted (93% capacity contracted as of Q1 2026). A segment reorganization in Q1 2025 absorbed EnLink's gathering and processing into the G&P segment and EnLink's NGL operations into the NGL segment; the refined products and crude segment was unaffected.

Source: Company filings (10-K Item 1, Item 7, Note 22 Segment Reporting); DEF 14A proxy; company website; Rand Strategy analysis.

4. Asset Footprint and Basin-to-Market Flow Maps

4.1 System Map Overview

ONEOK operates approximately 60,000 miles of pipeline. The breakdown by commodity is approximately 26,500 miles of NGL gathering and transportation, 18,000 miles of natural gas gathering, 9,800 miles of refined products pipelines (the Magellan legacy system), and approximately 5,500 miles of crude oil pipelines (Magellan legacy plus Medallion). Natural gas processing capacity totals approximately 8.5 Bcf/d across more than 30 plants. Fractionation capacity totals approximately 1.15 MMb/d net across 11 plants concentrated at Mont Belvieu (Texas) and Conway (Kansas). NGL storage capacity totals approximately 40 MMb across seven facilities. Refined products storage on-system totals approximately 47 MMb; total segment storage including crude reaches approximately 115 MMb. Marine terminal access on the Gulf Coast supports approximately 250 Mb/d of LPG export capability today, expanding to approximately 650 Mb/d with the 2028 Texas City Logistics start-up.

Asset Class	Pipeline Miles / Capacity	Key Locations
NGL Gathering & Transport	~26,500 miles	Bakken (Elk Creek 900mi); WTLPG 2,600mi; Sterling; Arbuckle II; Easton
Natural Gas Gathering	~18,000 miles	Williston, Mid-Continent, Permian, Powder River, DJ
Refined Products Pipelines	~9,800 miles	Magellan legacy; 15-state footprint
Crude Oil Pipelines	~5,500 miles	Magellan legacy + Medallion (1,200+ mi Midland gathering)
Natural Gas Processing	~8.5 Bcf/d capacity	30+ plants across all major basins
NGL Fractionation	~1.15 MMb/d net	11 plants at Mont Belvieu and Conway
NGL Storage	~40 MMb	Seven facilities incl. Mont Belvieu salt caverns
Refined Products Storage	~47 MMb on-system	Magellan terminal network
Total Liquids Storage	~115 MMb	NGL + refined products + crude
Gulf Coast LPG Export	~250 Mb/d today; ~650 Mb/d by 2028	Texas City Logistics (50/50 JV with MPLX)

4.2 Basin-by-Basin Breakdown

Williston Basin (Bakken and Three Forks)

ONEOK is the dominant Bakken natural gas gatherer and NGL takeaway provider. Processing capacity sits near 1.9 Bcf/d, which we estimate at roughly 47% of basin capacity. NGL takeaway is anchored by the Bakken NGL Pipeline (approximately 140 Mb/d) and Elk Creek (900 miles, expanded to approximately 435 Mb/d in Q1 2025). Major producer customers include Continental Resources (now Hamm Capital private), ConocoPhillips, Marathon Oil (under Conoco), Hess (under Chevron), and a long tail of mid-size operators. North Dakota gas capture reached 96% in early 2026, and crude production has held in a 1.10 to 1.20 MMb/d band for two years.

Continental Resources halted Bakken rigs in January 2026, the first such halt in 30 years; the sentiment effect is negative, but volume impact is limited given the flat production trajectory. North Dakota Industrial Commission's April 2026 commitment of up to \$500M for gas pipeline development signals regional support for additional egress; OKE is the best positioned beneficiary.

STACK, SCOOP, and Mid-Continent

Approximately 3.5 Bcf/d of segment processing across Cana-Woodford, STACK, SCOOP, Cherokee, and Mississippian Lime plays. Anadarko rig count of approximately 58 (mid-May 2026) is up seven month-over-month, encouraging for fractionation feed at Medford and Conway. Major producer customers include Devon Energy, Continental, Marathon, and Orintiv. The Medford fractionator Phase 1 (100 Mb/d) is on track for Q4 2026 in-service, and Phase 2 (110 Mb/d) for Q1 2027. The Medford rebuild reverses the post-2022 fire arrangement that routed Mid-Continent NGLs to rail; pipeline-based service economics return when Phase 1 starts.

Permian Basin (Delaware and Midland)

The primary growth basin. Processing capacity reaches approximately 1.7 to 1.8 Bcf/d post-EnLink, Medallion, and the May 2025 Delaware Basin JV buy-in. Medallion contributes 1,200-plus miles of Midland crude gathering, 1.3 MMb/d nameplate capacity, and 1.5 MMb of storage on 100% fee contracts. NGL takeaway is the West Texas NGL Pipeline (WTLPG), approximately 2,600 miles,

expanded to 740 Mb/d in mid-2025 with pump station additions. The Shadowfax 150 MMcf/d processor relocated from North Texas to the Midland Basin and started up in Q1 2026. Another 110 MMcf/d of Delaware expansion is targeted for Q3 2026, and the 300 MMcf/d Bighorn plant with CO₂ treating capability follows mid-2027. Major producers in OKE's Permian gathering footprint include ConocoPhillips, ExxonMobil, Chevron, Diamondback Energy, Coterra, Permian Resources, and Devon.

Powder River Basin

Smaller position. The 60 MMcf/d Cutter plant starts up Q4 2026 and anchors basin processing. Producer base is concentrated in EOG and Devon.

Denver-Julesburg Basin

Approximately 8 rigs as of mid-May 2026, reflecting Colorado regulatory friction. Overland Pass laterals retain NGL takeaway optionality. Producers include Civitas Resources and Chevron (legacy Noble assets).

Gulf Coast and Mont Belvieu Connectivity

Mont Belvieu is the franchise downstream nexus: 11 fractionators at approximately 1.15 MMb/d net capacity, MB-6 (125 Mb/d) commissioned December 2024, approximately 40 MMb of NGL storage, and Easton Energy's 450 miles of Gulf Coast NGL pipelines (acquired June 2024) connecting frac centers to export docks. The forthcoming MBTC NGL pipeline (24 inch from Mont Belvieu to Texas City, approximately \$350M total cost with \$280M OKE share at 80% interest with MPLX) feeds the new 400 Mb/d Texas City Logistics LPG export terminal (50-50 JV with MPLX, approximately \$1.4B total with \$700M OKE share). Both projects start up early 2028.

Refined Products and Crude Footprint

The legacy Magellan refined products system covers 15 states across approximately 9,800 miles of pipeline (per company disclosure), with connectivity to a meaningful share of U.S. refining capacity. Connected refineries include those operated by Valero, Marathon, Phillips 66, HF Sinclair, and Citgo. JV interests include BridgeTex, Saddlehorn, Powder Springs Logistics (50%, which took a \$60M Q1 2026 impairment), and Roadrunner. The Denver-area refined products expansion (\$480M, 35 Mb/d incremental, 230-mile 16-inch pipeline from Scott City, Kansas to Denver International Airport) is fully subscribed and targets mid-Q3 2026 in-service. The expansion supports growing Denver demand including sustainable aviation fuel (SAF) volumes for airline customers at DIA.

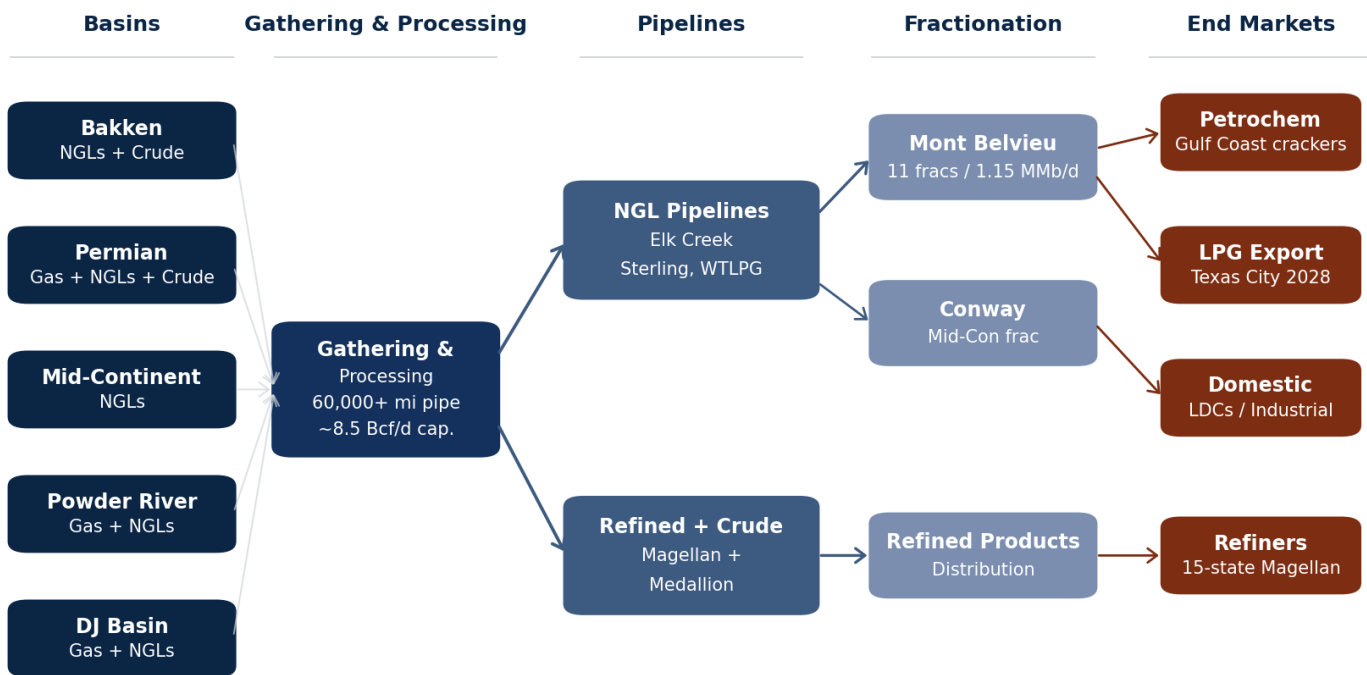
4.3 NGL Value Chain Map

The NGL value chain runs wellhead to gathering to processing to fractionation to distribution to end market. ONEOK owns or operates the full chain in three basins (Bakken, Mid-Continent, Permian via WTLPG). The choke points where ONEOK captures multi-stage tolls are: (1) gas processing at the wellhead, where condensate and NGLs are separated from methane; (2) Y-grade NGL transportation via Elk Creek, Bakken NGL Pipeline, Sterling, Arbuckle II, and WTLPG to Mont Belvieu and Conway; (3) fractionation at Mont Belvieu and Conway, splitting Y-grade into purity products (ethane, propane, normal butane, isobutane, natural gasoline); (4) purity distribution via Easton Energy and ONEOK's existing Gulf Coast distribution to petrochemical, refinery, propane export, and gasoline blending customers; (5) export beginning 2028 through the Texas City Logistics terminal, capturing dock-side margin currently earned by Enterprise, Energy Transfer, and Targa.

The franchise's structural advantage is that it earns three to four fees on the same barrel: gathering (often POP-based with a fee component), Y-grade transportation, fractionation tolling, and (post-2028) export. Competitors with single-stage exposure (such as Plains in crude gathering, or NGL pipeline pure-plays) cannot replicate this stack without acquiring multiple chains.

4.4 Basin-to-Market Flow

Y-grade NGLs originate in the Bakken, Mid-Continent, and Permian basins and move through four NGL pipelines (Elk Creek, Arbuckle II, Sterling, and WTLPG) into the Mont Belvieu and Conway fractionation hubs. From fractionation, purity products move to petrochemical crackers along the Gulf Coast, to propane export terminals in Texas, and into refined products distribution east of the Rockies. The franchise earns three tolls on the same molecule today (gathering, processing, and fractionation) and is positioned to earn a fourth (export) starting in 2028 with the Texas City Logistics LPG terminal. Competitors with single-stage exposure cannot replicate this layered fee capture without acquiring multiple chains. The choke points where OKE collects multi-stage tolls are concentrated in Mont Belvieu, Conway, and the Bakken NGL takeaway path; these are the franchise's most defensible commercial positions.



Layered fee capture from wellhead to end market: three tolls today; a fourth (export) starting in 2028.

Exhibit 10. ONEOK basin-to-market flow across five commercial stages.

4.5 NGL Value Chain

The conversion path from raw Y-grade to purity products runs through fractionation into ethane, propane, normal butane, isobutane, and natural gasoline. Pricing reference points are Mont Belvieu (MB or non-TET) for Gulf-Coast-priced product and Conway for Mid-Continent volumes; the basis differential between the two is the trade OKE captures through its Sterling Mid-Con-to-Mont Belvieu pipeline system. End markets split into petrochemical crackers (the largest demand pull for ethane), propane export (the largest demand pull for propane), refinery octane and gasoline blending (for isobutane and natural gasoline), and seasonal heating (residential propane). ONEOK's fractionation handle of approximately 1.15 MMb/d sits inside an industry frac stack approaching 5-plus MMb/d; the franchise's connectivity to feed (via gathering and pipelines) plus the Texas City export build closes the loop more tightly than peers operating fractionation alone.

4.6 Interconnect and Competitive Access Map

The competitive access landscape divides into scarce-connectivity regions (where ONEOK is the only or dominant operator) and competitive regions (where producers have alternatives). Scarce connectivity dominates in the Bakken (we estimate ONEOK gathers roughly 47% of basin gas with no comparable alternative for NGL takeaway), in Mont Belvieu fractionation (only Enterprise and Targa offer alternative scale handle), and on the refined products pipeline network east of the Rockies (the Magellan footprint has no equivalent competitor). Competitive access prevails in the Permian (ONEOK competes with Targa, Enterprise, Energy Transfer, and Plains for gathering contracts), in DJ and Powder River (smaller positions with multiple alternatives), and in NGL export (Enterprise, Energy Transfer, and Phillips 66 dominate today, with Targa, Vopak, and others adding capacity).

Source: Company filings (10-K property descriptions); ONEOK investor materials; FactSet; Bloomberg; EIA; third-party industry data; Rand Strategy analysis.

5. Segment-by-Segment Economics

5.1 Adjusted EBITDA by Segment

Segment (\$M)	FY2023A	FY2024A	FY2025A	Q1 25A	Q1 26A	FY2026E	FY2027E
Natural Gas Liquids	2,170	2,543	2,779	635	706	2,845	3,050
Refined Products & Crude	760	1,892	2,177	471	492	2,225	2,330
Natural Gas G&P	1,425	1,484	2,138	491	467	2,160	2,335
Natural Gas Pipelines	580	900	861	212	339	845	870
Corporate / Other	308	(35)	65	(34)	(7)	25	30
Total Adjusted EBITDA	5,243	6,784	8,020	1,775	1,997	8,100	8,615

Note: 2026E and 2027E reflect our base-case build, which sits modestly below the management midpoint guidance of \$8.25B for 2026 because we apply a \$150M optimization fade in the second half. We use \$8.10B for 2026E to anchor our valuation on a defensible figure that discounts cyclical Q1 2026 optimization earnings; the conservatism preserves cushion in the valuation against a normalization in Permian basis and ethane rejection.

Source: Company quarterly earnings releases (FY2023, FY2024, FY2025, Q1 2025, Q1 2026); April 28, 2026 raised guidance; Rand Strategy estimates.

5.2 Natural Gas Liquids

The NGL segment is the largest and historically most durable. The 2025 print of \$2.78B in EBITDA grew to \$706M in Q1 2026, an 11% year-over-year improvement. The Q1 2026 walk: optimization on purity NGLs contributed \$42M, exchange-services volume contributed \$24M, and these gains were partially offset by lower Gulf Coast and Mid-Continent fee rates and narrower differentials. Raw feed throughput reached 1,493 Mb/d in Q1 2026, up 15% year-over-year, driven by Permian growth and EnLink consolidation.

Contract structure is approximately 90% fee-based. The split within the fee-based bucket: roughly 60% transportation tariffs (firm and interruptible blends, with FERC oil pipeline indexing on a portion of the system), 30% fractionation tolling, and 10% storage. The residual 10% commodity-exposed portion is primarily POP arrangements on EnLink-legacy contracts, of which approximately 75% is hedged in 2026.

The segment's structural earnings power scales with three factors. First, Permian gas growth feeds NGL yield; the EIA forecasts 29.2 Bcf/d Permian gas production in 2026 (up 6% year-over-year) translating into approximately 1.2 to 1.3 MMb/d incremental NGL barrels at industry-average yield. Second, Bakken volume stability; with North Dakota crude in a 1.10 to 1.20 MMb/d band and gas capture at 96%, NGL throughput from the Bakken is highly predictable. Third, Mid-Continent recovery as Medford comes online; the Phase 1 start-up in Q4 2026 frees Mid-Con producers from rail-based NGL takeaway, lowering their costs and supporting volumes.

The key swing factors we monitor are: the ethane-to-gas BTU ratio (when sub-1.0, rejection is incentivized, capping NGL throughput); the Conway-to-Mont Belvieu propane spread (normalized at approximately \$0.05 per gallon currently, but blew out to over \$0.25 per gallon during the late 2024 tariff shock); the Gulf Coast frac stack tightness (currently estimated at approximately 95% utilization (third-party industry data), supporting tolling rates); and the start-up of Texas City Logistics in 2028, which captures dock-side export margin currently earned by competitors.

Segment growth capex in 2026E is approximately \$1.0B; maintenance capex approximately \$250M. Run-rate EBITDA contribution from in-progress NGL projects (Medford Phase 1 and 2, MBTC, Texas City Logistics) totals approximately \$375M when fully on-line in 2028.

5.3 Refined Products and Crude

The Magellan-anchored segment delivered \$2.18B in 2025 EBITDA and \$492M in Q1 2026 (up 5% year-over-year despite a \$60M non-cash impairment on the Powder Springs Logistics JV). Transportation and storage contributed an incremental \$30M and crude marketing \$24M, partially offset by JV losses. Refined products shipments reached 1,568 Mb/d in Q1 2026, up 12% year-over-year on stronger demand and a customer-mix shift. Crude shipments fell 13% to 1,613 Mb/d on planned customer routing changes; the decline appears consistent with expected customer routing changes.

Contract structure is approximately 90% fee-based. The refined products portion runs on FERC oil indexing (PPI-FG plus approximately 1.0% historically), with the next review window pending in 2026. Crude is a mix of long-term gathering contracts (including the Medallion 100% fee-based MVCs) and shorter-duration tariffs. Tariff escalators provide moderate organic growth in the 2% to 4% range absent major capacity expansions.

Earnings durability in this segment is high; the principal risks are demand transition (EV penetration in gasoline-heavy U.S. PADD II markets), refinery rationalization (Phillips 66 LA refinery slated for shutdown in 2025 reduces routing volume on certain Magellan systems), and the West Coast tariff cycle. We model 2027E EBITDA growth to \$2.33B from \$2.18B in 2025, driven by Denver expansion (mid-Q3 2026 in-service, approximately \$55M run-rate contribution) and ongoing tariff escalations net of demand drag.

The segment is the most under-appreciated by the market in our view: post-Magellan refined products carries replacement-cost scarcity (no greenfield refined products system of this scale has been built in decades) that justifies a 12x SOTP multiple, in line with the Magellan acquisition multiple. We treat this as the SOTP anchor for the refined products and crude segment in Section 8.

5.4 Natural Gas Gathering and Processing

The fastest-changing segment by composition. EnLink consolidation in January 2025 lifted FY2025 G&P EBITDA to \$2.14B from \$1.48B in 2024, a 44% jump. Q1 2026 came in at \$467M, down 5% year-over-year on \$64M of lower realized commodity prices net of hedging, partially offset by \$27M from volume growth and \$14M from the removal of certain methane-related fees following the EPA rule delay.

Contract structure is approximately 90% fee-based with approximately 75% of remaining commodity exposure hedged in 2026. Natural gas processed reached 5,490 MMcf/d in Q1 2026, up 5% year-over-year, with Permian gas accounting for the majority of the increase. The growth path is the Shadowfax 150 MMcf/d ramp (online Q1 2026, ramping through year-end), Delaware plus 110 MMcf/d (Q3 2026), Cutter 60 MMcf/d (Q4 2026), and Bighorn 300 MMcf/d with CO₂ treating (mid-2027).

This segment is the most exposed to commodity prices and basin activity; it is also where synergy capture from EnLink and Medallion concentrates. Synergies through Q1 2026 total approximately \$475M cumulative across the deal portfolio, with approximately \$175M of incremental synergies expected over 2026 and 2027 toward a long-run target of \$700M-plus. The G&P share of those synergies is approximately 60%.

A near-term risk to monitor is Permian ethane rejection. With ethane-to-gas BTU ratios at 0.92 year-to-date 2026 and Mont Belvieu ethane at approximately 16 cents per gallon, processors are increasingly economically incented to reject ethane back into the gas stream. Rejection reduces NGL throughput, weakening fractionation segment volumes but supporting gas-pipeline volumes; the franchise's diversification means rejection is roughly neutral at the consolidated EBITDA line but reshapes segment mix.

5.5 Natural Gas Pipelines

The smallest segment but operationally important. FY2025 EBITDA of \$861M came in modestly below FY2024's \$900M, reflecting the loss of \$359M of EBITDA contribution from the 2024 divestiture of three interstate gas pipelines to DT Midstream at approximately 10.5x. Q1 2026 jumped to \$339M, up 60% year-over-year, with \$92M of optimization-and-marketing earnings (the \$70M Waha-to-Katy capture plus \$19M Winter Storm Fern weather contribution) plus \$23M of firm transport growth and \$17M from the Northern Border JV.

Contract structure is approximately 95% capacity contracted (93% in Q1 2026 disclosed); fee-based portion is approximately 85% in 2026, reflecting elevated optimization. The Waha-to-Katy gain is repeatable as long as Permian gas egress remains constrained. We expect \$300M to \$400M of 2026 NGP optimization earnings; the figure fades materially in 2027 as Permian relief comes (GCX expansion 2Q26, Blackcomb 4Q26, Hugh Brinson 4Q26, Matterhorn full-rate 1H26, Eiger Express mid-2028).

The segment is also where future power-generation and data-center demand is captured. Management identifies approximately 30 potential power plant expansions across the footprint totaling more than 4 Bcf/d. We do not yet model these in our 2027 EBITDA; they represent upside.

5.6 Segment EBITDA Mix Trajectory

The mix shift from a Bakken-Mid-Continent NGL focus to a four-segment, four-basin diversified midstream is the defining narrative of the past three years. NGL share holds at approximately 35% of EBITDA through the period, but Natural Gas Gathering and Processing rises from 27% in 2024 to 28% in 2026 on the EnLink and Medallion consolidation, Natural Gas Pipelines shrinks from 13% to 10% as the legacy interstate pipelines are divested, and Refined Products and Crude moves from zero in 2022

(pre-Magellan) to 27% steady-state. The franchise is more Permian-levered in 2026 than in 2023 and less interstate-pipeline-dependent.

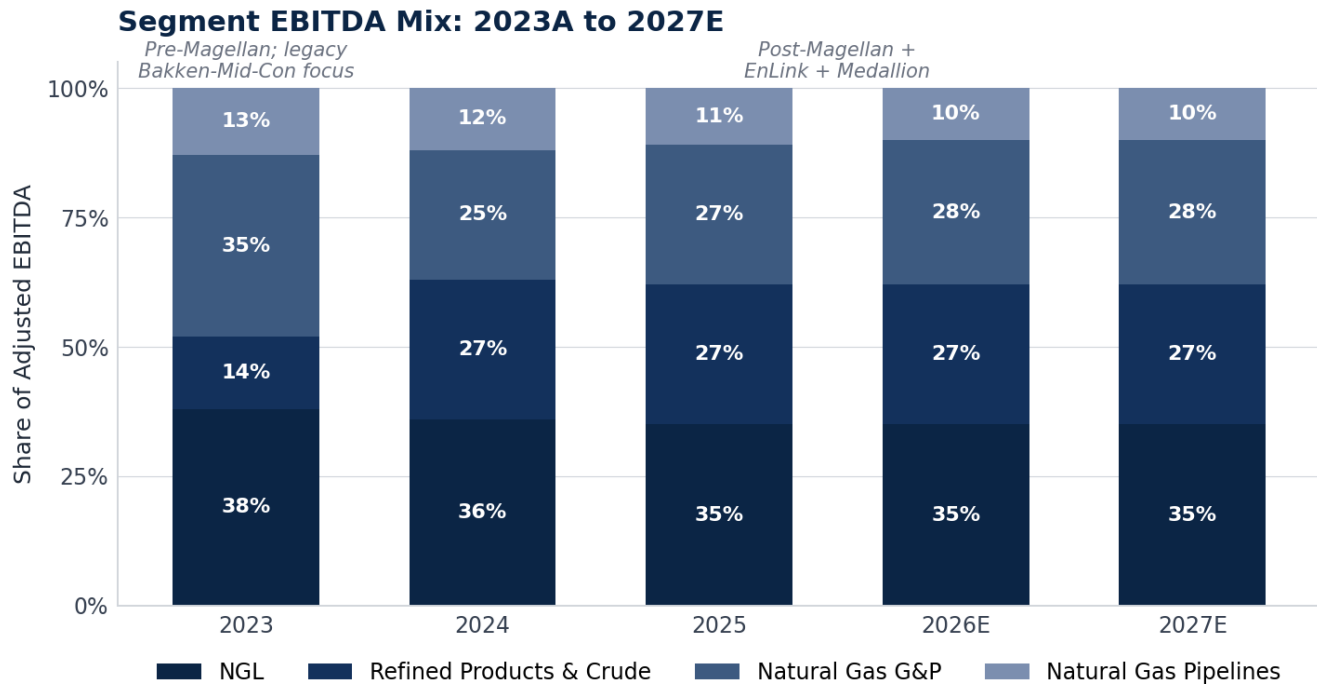


Exhibit 2. Segment EBITDA mix by year (Rand Strategy analysis on company segment disclosure).

5.7 Fee-Based versus Commodity-Exposed Earnings

Fee-based contribution stands at approximately 90% in NGL, Refined Products and Crude, and Natural Gas G&P (post-EnLink and Medallion integration), with the legacy NGP segment at approximately 85% fee-based. Approximately 87% to 90% of total EBITDA is contractually insulated from short-term commodity volatility; the residual 10% to 13% is where price sensitivity sits, primarily in G&P percentage-of-proceeds contracts. Approximately 75% of the residual commodity exposure is hedged for 2026, narrowing net unhedged sensitivity to roughly 2.5% of EBITDA. The Q1 2026 G&P weakness on lower NGL prices showed up entirely within this residual commodity slice.

6. Revenue and Contract Model Deep Dive

6.1 Contract Structure Analysis

The contract mix below reflects our estimated allocation of 2026E EBITDA across structure types. The company does not formally disclose this breakdown; the estimates are derived from segment-level commentary in 10-K Item 1, earnings call commentary, and peer comparisons.

Contract Type	% of EBITDA (Est.)	Commodity Exposure	Re-Contracting	Typical Duration
Fee-Based (Take-or-Pay / Firm)	38%	None	Staggered	10 - 20 years
Fee-Based (Acreage Dedication)	22%	Volume only	Life-of-lease	Life-of-lease
FERC Indexed (Refined Products)	18%	None (CPI escalator)	Annual reset	Common-carrier
Percent-of-Proceeds (POP)	9%	Direct	3 - 7 years	3 - 7 years
Keep-Whole	2%	Frac spread	3 - 5 years	3 - 5 years
Marketing / Optimization	11%	Basis / volume	Spot to short-term	Spot to 1 year

The Marketing and Optimization category is where the 2026 outperformance concentrates. The \$70M Q1 2026 Waha-to-Katy capture was a marketing earnings line; so was the \$42M of NGL purity optimization. These earnings streams are not always

recurring; we treat them as cyclical with a 50% to 60% fade probability over 24 months.

6.2 Customer Concentration

Top-customer concentration is not separately disclosed in public filings beyond aggregated counterparty quality commentary. Disclosure-quality indicators suggest moderate diversification, with no single customer above approximately 10% of revenue. Counterparties span LDCs (mostly investment-grade); electric generators (mix of investment-grade utilities and merchant operators); petrochemical operators (notably the Gulf Coast cracker cohort including Dow, ExxonMobil, Westlake, Indorama, Formosa, and OxyChem); refiners across PADD II and PADD III (Valero, Marathon, Phillips 66, HF Sinclair, Citgo); and Asian and European LPG offtakers via Gulf Coast docks. Minimum volume commitment coverage is approximately 60% to 65% of gathering volumes on the EnLink and Medallion footprints (Rand Strategy estimate); the legacy ONEOK system runs lower MVC coverage but higher firm-transport coverage. Contract expiration schedule is laddered: approximately 8% of contracts re-price annually with no cliff exposure in any single year.

6.3 Commodity Sensitivity Matrix

ONEOK does not formally disclose dollar-per-MMBtu or dollar-per-barrel EBITDA sensitivities. The matrix below reflects our estimates derived from Q1 2026 G&P commentary (the \$64M year-over-year decline tied to lower realized NGL and gas prices net of hedging), management's WTI assumption of \$55 to \$60 per barrel in 2026 guidance, and peer disclosures. These are Rand Strategy estimates and should be updated as company disclosure evolves.

Variable	Unit Change	EBITDA Sensitivity (\$M)	Notes
Henry Hub Natural Gas	+\$0.25 per MMBtu	+\$20 to +\$30	G&P primarily
Waha Basis (wider)	+\$0.25 per MMBtu	+\$40 to +\$60	NGP optimization
Mont Belvieu Ethane	+\$0.05 per gallon	+\$25 to +\$40	NGL and G&P combined
Mont Belvieu Propane	+\$0.05 per gallon	+\$30 to +\$45	NGL and G&P combined
Frac Spread (C3-C1)	+\$0.10 per gallon	+\$50 to +\$70	NGL primarily
WTI Crude	+\$5.00 per barrel	+\$40 to +\$60	RP&C and G&P
NGL Volumes (Williston)	+5%	+\$35 to +\$50	Highly fee-based; volume only
NGL Volumes (Mid-Con)	+5%	+\$25 to +\$40	Highly fee-based; volume only

Source: Company filings (10-K Item 7A Quantitative and Qualitative Disclosures About Market Risk); Q1 2026 earnings transcript; Bloomberg; FactSet; Rand Strategy estimates.

7. Financial Model and Projections

7.1 Three-Statement Model Summary

Income Statement (\$M)	2023A	2024A	2025A	2026E	2027E
Revenue	17,680	21,698	33,629	37,500	40,200
Cost of Sales / Operating Exp.	11,718	14,361	25,309	28,250	30,300
Gross Profit	5,962	7,337	8,320	9,250	9,900
SG&A	941	784	279	700	720
D&A	1,725	2,000	2,300	2,400	2,500
EBIT	3,296	4,553	5,741	6,150	6,680
Interest Expense (Net)	1,200	1,371	1,783	1,750	1,650
Other Income / (Expense)	380	720	615	600	600
Pretax Income	2,476	3,902	4,573	5,000	5,630
Tax Expense	700	850	1,028	1,150	1,310
Net Income (Reported)	1,776	3,052	3,545	3,850	4,320

Income Statement (\$M)	2023A	2024A	2025A	2026E	2027E
NCI	n/a	17	152	350	600
Net Income Attributable	1,776	3,035	3,393	3,500	3,720
Diluted EPS (\$)	5.74	5.17	5.42	5.53	5.85

Note: revenue growth from 2024 to 2025 reflects EnLink consolidation. Operating margins compress mechanically because EnLink's gathering and processing revenue includes commodity pass-through that does not generate margin. EBITDA margins are the more comparable metric across years.

Cash Flow Summary (\$M)	2023A	2024A	2025A	2026E	2027E
Cash from Operations	3,700	4,888	5,599	6,000	6,400
Total CapEx	(1,400)	(2,021)	(3,152)	(2,950)	(2,700)
Maintenance CapEx	(330)	(411)	(576)	(575)	(600)
Growth CapEx	(1,070)	(1,610)	(2,576)	(2,375)	(2,100)
FCF (CFO - CapEx)	2,300	2,867	2,447	3,050	3,700
Dividends Paid	(2,250)	(2,400)	(2,580)	(2,700)	(2,830)
Buybacks	0	(159)	(62)	(250)	(750)
Net Debt Issuance / (Paydown)	100	11,000	7,000	(500)	(2,200)
Acquisitions / Other	(50)	(12,000)	(4,500)	0	0
Ending Net Debt	13,000	24,500	31,500	31,000	28,800
Net Debt / EBITDA (x)	2.5	3.6	3.9	3.8	3.3

7.2 EBITDA Bridge 2024 to 2027E

The bridge below walks Adjusted EBITDA from 2024 to 2025 (actual integration year) and from 2025 to 2027E (organic growth and synergy capture path). This bridge is the key link table for explaining our forecast versus consensus.

Component (\$M)	2024 → 2025	2025 → 2026E	2026E → 2027E
Prior Year EBITDA	6,784	8,020	8,100
EnLink Full-Year Consolidation	+1,100	0	0
Medallion Full-Year Consolidation	+200	0	0
Magellan Run-Rate Synergies	+300	+150	+100
Volume Growth (Permian, Bakken, Mid-Con)	+400	+200	+250
Growth Project Ramps	+50	+175	+280
Commodity Impact (Net of Hedge)	(100)	(50)	+25
Optimization Volatility	(50)	(220)	(60)
Interstate Pipeline Divestiture	(359)	0	0
OpEx / Other	(305)	(175)	(80)
Current Year EBITDA	8,020	8,100	8,615

The 2026 bridge contains a \$220M optimization headwind. This is the deliberate decision to fade Q1 2026 outperformance through the remaining three quarters; the company guides to \$8.0B to \$8.5B (midpoint \$8.25B), and our \$8.10B sits at the conservative end of guidance to provide cushion for valuation. The 2027 bridge shows EBITDA growth of approximately \$515M, driven primarily by Medford Phase 1 partial-year, the full ramp of Shadowfax and Cutter, and continued synergy realization.

7.3 Distributable Cash Flow (DCF) Waterfall

Component (\$M)	2025A	2026E	2027E
Adjusted EBITDA	8,020	8,100	8,615
Less: Cash Interest Expense	(1,650)	(1,650)	(1,550)
Less: Maintenance CapEx	(576)	(575)	(600)
Less: Cash Taxes	(50)	(75)	(100)
Plus / (Less): Working Capital	(100)	(50)	(50)
Distributable Cash Flow	5,644	5,750	6,315
Less: Dividends Declared	(2,580)	(2,700)	(2,830)
Excess DCF	3,064	3,050	3,485
Coverage Ratio (x)	2.19x	2.13x	2.23x

Distribution coverage sits in the upper tier of the midstream cohort. The 2.13x to 2.23x range provides substantial cushion for the 3% to 4% annual dividend growth and leaves \$3.0B-plus of excess DCF for growth capex, buybacks, and debt reduction.

7.4 Debt and Liquidity Schedule

Total long-term debt as of March 31, 2026 stood at approximately \$32.0B with a weighted-average interest rate of approximately 5.3%. The schedule below shows estimated maturities by year. The full schedule with instrument-level detail should be pulled from the supporting model.

Year	Maturing Debt (\$M)	Coupon Range	Notes
2026	1,200	4.85% - var.	New \$1.2B term loan (April 2026); \$491M of 4.85% notes redeemed
2027	1,800	4.0% - 5.0%	Magellan legacy and ONEOK senior notes
2028	1,500	4.5% - 5.5%	\$2.5B revolver maturity (undrawn at Q1 2026)
2029	2,000	4.0% - 5.0%	
2030	1,800	4.5% - 5.5%	
2031 - 2035	8,000	4.5% - 5.8%	Several Magellan and EnLink legacy maturities
2036 - 2055	15,500	5.0% - 6.25%	Long-dated senior notes
Total Long-Term Debt	~32,000	wtd ~5.3%	
Cash and Equivalents	~500		
Net Debt	~31,500		

The \$2.5B revolving credit facility (maturing 2028) was undrawn as of Q1 2026, providing material liquidity backstop. The \$1.2B term loan added in April 2026 was used to refinance the \$491M of July 2026 notes plus general corporate purposes. The maturity profile is well-laddered, with no concentrated near-term maturity cluster and a weighted-average tenor that supports the path to 3.5x leverage by year-end 2027.

7.5 Return on Invested Capital Analysis

Using 2025A EBITDA of \$8.02B divided by approximately \$53B of total capitalization (debt \$30.5B average plus equity book value \$22.5B) yields approximately 15% EBITDA-on-capital. Pre-tax ROIC, normalized for depreciation and excluding goodwill from recent acquisitions, is approximately 8% to 9%. After-tax ROIC is approximately 6.5%.

The post-tax ROIC sits above ONEOK's weighted average cost of capital of approximately 6.0% to 6.5% (cost of equity 8.5%, after-tax cost of debt 4.2%, capital structure 38% debt / 62% equity), but the spread is narrower than premium gas-pipeline peers (KMI approximately 7% after-tax ROIC, WMB approximately 7.5%) reflecting recent M&A goodwill drag. Importantly, incremental ROIC on growth capital projects is materially higher: the Medford rebuild, Shadowfax, Bighorn, Texas City Logistics, and Eiger Express all build at 6x to 7x EBITDA, implying 14% to 16% pre-tax ROIC.

The franchise is therefore at an inflection: total ROIC is depressed by goodwill from 2023 to 2025 acquisitions, but marginal new capital earns well above cost. As acquisition spending moderates and organic growth capex tapers post-2028, total ROIC should expand from 6.5% toward 8% over five years: new capital deployment earns spreads well above cost, demonstrating that management creates value at the margin even where headline ROIC looks compressed.

Source: Company filings (10-K, 10-Q balance sheet); ONEOK investor materials; FactSet capital structure data; Bloomberg; Rand Strategy estimates.

8. Valuation

8.1 EV/EBITDA Multiple Approach and Peer Comparison

The peer set spans the seven largest North American midstream operators plus Energy Transfer. Multiples below use spot prices as of May 15, 2026 and consensus 2026E EBITDA.

Ticker	Price (\$)	Mkt Cap (\$B)	Net Debt (\$B)	EV (\$B)	2026E EBITDA (\$B)	EV/EBITDA	Yield	Leverage
OKE	92.41	58.2	32.0	90.2	8.25	10.9x	4.6%	3.8x
WMB	77.85	95.1	26.0	121.1	8.20	14.8x	2.7%	3.7x
EPD	39.23	84.9	34.2	119.1	11.25	10.6x	5.6%	3.1x
TRGP	267.48	57.4	19.1	76.5	5.80	13.2x	1.9%	3.7x
KMI	33.51	74.5	32.0	106.5	8.50	12.5x	3.5%	3.6x
PAA	22.60	15.7	11.4	27.1	2.88	9.4x	7.4%	3.5x
MPLX	55.22	56.0	22.0	78.0	7.40	10.5x	7.9%	3.7x
ET	20.26	69.3	60.0	129.3	18.40	7.0x	6.7%	4.1x
Median (ex-OKE)	—	—	—	—	—	10.6x	5.1%	3.7x

ONEOK trades at the peer median 2026E EV/EBITDA multiple. The simple read is that the market has priced ONEOK fairly relative to the cohort but at a meaningful discount to the WMB-KMI gas-pipeline complex (14.8x and 12.5x, respectively). Our view is that the gas-pipeline premium is justified for WMB given Transco's replacement-cost scarcity and recent AI/data-center power demand wins, but the OKE-versus-KMI gap of 1.6 turns at current trading multiples is harder to defend given comparable scale, comparable C-Corp tax structure, and similar leverage. Closing half of that gap (roughly 0.8 turns) would add approximately \$7B to OKE's enterprise value or approximately \$11 per share.

Applying multiples to our 2026E EBITDA of \$8.10B:

Basis	EBITDA (\$B)	Multiple	EV (\$B)	Implied Price (\$)
Consensus 2026E	8.25	11.0x	90.8	\$93
Our 2026E	8.10	11.0x	89.1	\$90
5-Year Average Multiple	8.10	10.8x	87.5	\$88
Peer Median 2026E	8.10	10.6x	85.9	\$86
WMB-KMI Average	8.10	13.7x	110.9	\$124

8.2 Sum-of-the-Parts

The SOTP approach is the most diagnostic for ONEOK because it isolates which segment carries which multiple and identifies whether a particular segment is mispriced. SOTP is the most useful method for a trading desk because it isolates which segment is mispriced.

Segment	2027E EBITDA (\$M)	Multiple (x)	Implied EV (\$M)	Comparable / Justification
Natural Gas Liquids	3,050	11.5x	35,075	EPD NGL franchise; premium for Mont Belvieu and 2028 export
Refined Products & Crude	2,330	12.0x	27,960	Magellan transaction multiple; common-carrier scarcity
Natural Gas G&P	2,335	8.7x	20,315	TRGP G&P (9-10x) and lower-quality G&P (7-8x) blend
Natural Gas Pipelines	870	12.0x	10,440	Below WMB Transco but above generic intrastate
Corporate / Other	30	6.0x	180	Conservative
Total Enterprise Value	8,615	11.1x blend	95,270	
Less: Net Debt (YE 2027E)			(28,800)	
Less: Other Liabilities			(1,800)	NCI, pension, preferred
Equity Value			64,670	
Diluted Shares (post-buyback)			628M	
SOTP Implied Price			\$103	Primary anchor for \$103 PT

The SOTP build yields \$103 per share, anchoring our price target. The output reflects segment multiples one to two turns above the previous EV/EBITDA single-multiple approach: ONEOK's NGL franchise and refined products platform warrant multiples closer to pure-play comparables (Enterprise on NGLs, Magellan pre-acquisition on refined products) rather than a single blended midstream multiple. The DCF at \$98 and DDM at \$98 serve as cross-checks; convergence inside a \$5 band gives us conviction in the \$103 anchor.

8.3 Discounted Cash Flow

The DCF uses a two-stage approach. Stage one is explicit forecast 2026 to 2030 with free cash flow growth at 6% CAGR fading from 8% in 2026 to 4% in 2030. Stage two is terminal at 2.0% perpetuity growth. WACC of 6.5% (cost of equity 8.5% based on risk-free 4.5%, beta 1.0, equity risk premium 4.0%; after-tax cost of debt 4.2%; 38% debt / 62% equity capital structure).

Year	Unlevered FCF (\$M)	Discount Factor	PV (\$M)
2026E	3,500	0.939	3,287
2027E	3,800	0.882	3,352
2028E	4,100	0.828	3,395
2029E	4,400	0.777	3,419
2030E	4,600	0.730	3,358
Terminal Value	104,889	0.730	76,569
Enterprise Value			93,380
Less: Net Debt			(32,000)
Equity Value			61,380
Diluted Shares			628M
DCF Implied Price			\$98

Sensitivity: a 50-basis-point WACC change moves the implied price approximately \$8 per share. A 50-basis-point terminal growth change moves the implied price approximately \$5 per share. The DCF cross-check at \$98 sits comfortably below the SOTP anchor of \$103, reflecting the conservatism of the perpetuity terminal value relative to segment-mix multiple premiums.

8.4 Dividend Discount Model

The Gordon model with \$4.28 forward dividend, 4% sustainable growth, and 8.5% cost of equity yields approximately \$95 per share. This is mechanically constrained by the payout policy (75% to 85% of CFO post-maintenance capex) and is most useful as a yield-buyer cross-check rather than a primary valuation method. A multi-stage DDM (5% near-term growth fading to 3% terminal)

generates approximately \$98 per share.

8.5 Bull/Base/Bear Valuation Bridge

Method	Bear (\$)	Base (\$)	Bull (\$)
SOTP (primary)	82	103	116
EV/EBITDA on 2027E	79	101	113
DCF	75	98	115
DDM (multi-stage)	78	98	105
Blended (weighted)	78	103	113
Probability Weight	20%	50%	30%
Probability-Weighted Price	16	52	34
Weighted Implied PT		\$103	
Anchor PT		\$103	

The probability-weighted blended price target lands at \$103, matching the SOTP primary anchor. The final number sits inside a valuation cross-check range of \$98 to \$108, bounded below by the DCF and DDM outputs and above by the bull-case scenarios.

Valuation Methodology Bridge to \$103 Price Target

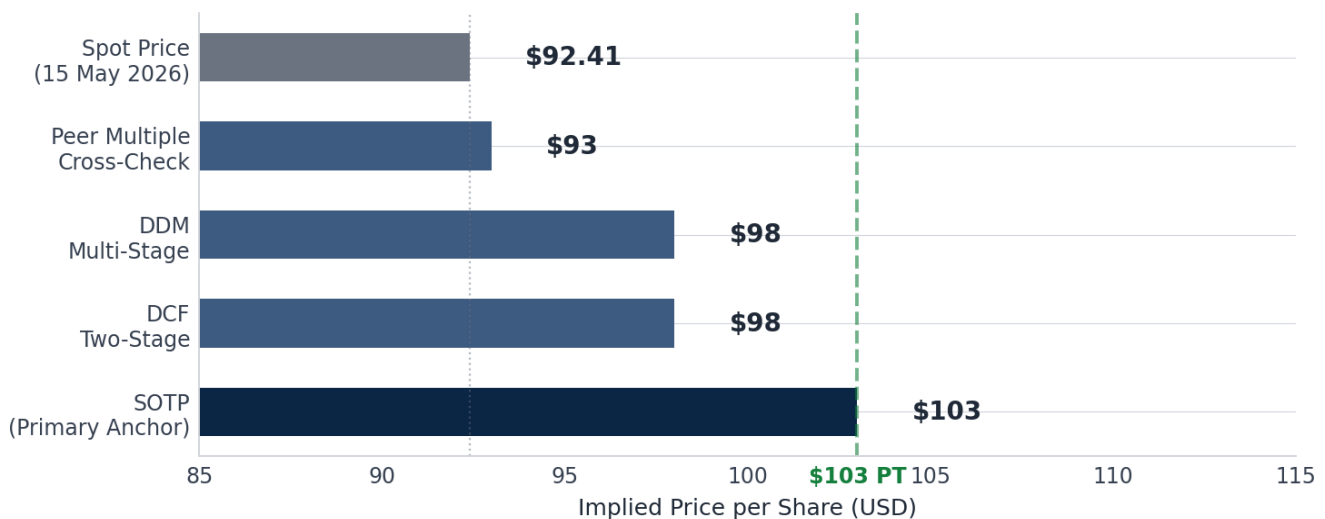


Exhibit 7. Valuation methodology bridge to \$103 price target.

8.6 Price Target Anchor

The \$103 price target anchors directly on the SOTP build. The build applies segment-level multiples one to two turns above a single blended midstream multiple, reflecting that ONEOK's NGL franchise warrants pricing closer to Enterprise Products Partners and that the Magellan-derived refined products platform warrants pricing closer to the pre-acquisition Magellan multiple. While the cross-check methodologies (DCF at \$98 and DDM at \$98) sit modestly below the anchor, the convergence inside a \$5 band is the diagnostic that gives us conviction to publish a single number. The probability weighting of 30% bull / 50% base / 20% bear reflects asymmetric risk-reward; consensus distributions skew toward the base case, and the bull case requires multiple favorable conditions to converge. The 11.1x blended exit multiple is defensible in line with the diversified-midstream cohort average and one turn below the WMB-KMI gas-pipeline complex.

Source: Peer Q1 2026 earnings releases (WMB, EPD, TRGP, KMI, PAA, MPLX, ET); Bloomberg consensus aggregations; company filings; Rand Strategy SOTP build.

9. Trading and Commercial Lens

This section separates what trading desks should capitalize from what they should fade. Q1 2026 contained approximately \$130M of optimization earnings across NGP, NGL, and RP&C; on a full-year 2026 basis, roughly \$150M to \$200M of that lift is structurally durable, and the balance is cyclical. The Waha-to-Katy capture, the largest single optimization driver, exists because Permian gas is structurally trapped through Q4 2026; relief comes through Q2 2026 to year-end 2026, and we view the line as fading materially in 2027 and reaching a structural baseline in 2028 as Eiger Express enters service. While the Waha optimization line fades, the Mont Belvieu fractionation and storage moat, the Bakken NGL gathering captive volumes, and the Magellan refined products common-carrier system are structurally durable; these warrant pricing closer to gas-pipeline pure plays rather than to commodity-exposed gathering operators. On Texas City Logistics, our base case has the terminal running at approximately 70% of design rate by Q4 2028 with full design rate achieved through 2029; the principal execution risks are the Mont Belvieu-to-Texas City NGL pipeline tie-in and global LPG demand absorption. On ethane recovery, the BTU ratio needs to clear approximately 1.10 against gas to incentivize widespread recovery; we expect petrochemical demand growth into 2028 to support a structural rerating of ethane economics, adding \$80M to \$120M of annualized EBITDA to OKE's NGL system in the upside case. The variant call against consensus is that the 2028 step-up from Texas City Logistics and Eiger Express is underpriced; we credit approximately \$5 per share of optionality, against consensus that we read as treating these projects at deep-discount build multiples without subsequent re-rating.

9.1 Scarce Connectivity Analysis

ONEOK's commercial moat concentrates in three places. First, NGL gathering connectivity in the Bakken: we estimate approximately 47% of basin gas processing flows through OKE plants, and the NGL takeaway path (Bakken NGL Pipeline plus Elk Creek) is the only large-diameter NGL pipeline serving the play. Targa Resources has a smaller Bakken position but lacks the gathering reach. Producers in the basin face limited alternatives for Y-grade evacuation. Second, Mont Belvieu fractionation and storage handle: 11 fractionators at approximately 1.15 MMb/d net plus approximately 40 MMb of storage. Only Enterprise (approximately 1.9 MMb/d) and Targa (approximately 1.1 MMb/d) offer alternative-scale handle, and capacity at all three operators is approximately 95% subscribed. Third, the Magellan refined-products system: 9,800 miles of common-carrier infrastructure with connectivity to a meaningful share of U.S. refining capacity, with no comparable competitor and no new-build alternative on the horizon.

Quantifying captive volumes is difficult without disaggregated contract data. Our estimate is that approximately 45% of OKE's gathered Bakken NGL throughput, approximately 60% of Mont Belvieu fractionation handle, and approximately 80% of refined products throughput is captive in the sense that switching costs to alternatives exceed any plausible discount competitors could offer over the contract horizon. The franchise-wide captive share is approximately 55% of segment EBITDA.

9.2 Basis Dislocation Exposure

Waha to Henry Hub

Permian gas is structurally trapped through Q4 2026 as production growth has outpaced egress build-out. Cash basis settled negative on 84 of the first 97 days of 2026. Prompt June 2026 basis is approximately negative \$6.47 per MMBtu; the summer 2026 strip is approximately negative \$1.75 per MMBtu fixed. ONEOK's NGP segment captured \$70M of Waha-to-Katy spread in Q1 2026 alone, embedded in the \$92M optimization line. The relief schedule is GCX expansion plus 570 MMcf/d in Q2 2026, Matterhorn reaching full rate in 1H 2026, Blackcomb in Q4 2026, Hugh Brinson in Q4 2026, and Eiger Express by mid-2028; the cumulative relief is approximately 4.5 Bcf/d through 2028. Our expectation is 2026 NGP optimization at \$300M to \$400M total, fading to \$150M to \$200M in 2027 and structurally lower in 2028 as Eiger comes in (but where OKE captures Eiger project EBITDA instead).

Conway to Mont Belvieu Propane

Normal spread is approximately \$0.05 per gallon; the spread blew out to over \$0.25 per gallon during the U.S.-China tariff shock in late 2024 as Conway propane was stranded behind tariff-driven export delays. The spread has normalized. ONEOK owns transport on both sides (Sterling pipelines, Mid-Con to Mont Belvieu) and earns the spread when it widens. The current setup is benign; we model approximately \$30M of 2026 Conway-Belvieu optimization, with a fade to approximately \$20M in 2027.

Bakken to Gulf Coast Crude

WTI-Brent at approximately \$10 per barrel plus the Iranian and Hormuz disruption risk premium pushes Bakken Clearbrook to a small premium over WTI, supporting OKE's crude marketing capture. Q1 2026 crude marketing optimization in the RP&C segment

was plus \$24M. The trade is the ability to nominate barrels into Gulf Coast destinations earning the export premium versus inland refinery destinations.

Ethane Rejection Economics

The 2026 year-to-date ethane-to-gas BTU ratio of 0.92 means rejection is favored, particularly in the Permian where deeply negative Waha drives the math further. Ethane needs to clear approximately \$0.30 per gallon at Mont Belvieu (versus current approximately \$0.16) to incentivize widespread recovery. This caps NGL throughput growth and is a key swing factor for 2027. The good news for OKE: rejection moves ethane molecules from NGL pipelines into gas pipelines, partially offsetting the lost fractionation tolling with additional natural gas pipeline throughput on Northern Border, Roadrunner, and intrastate systems.

9.3 Frac Spread and NGL Differential Analysis

Frac spread (the NGL composite value less the natural gas equivalent on a BTU basis) compressed materially in Q1 2025 to Q1 2026 as ethane lagged. With Mont Belvieu butane at 47.2% of WTI on May 1, 2026 versus 65.6% a year earlier, the heavy NGLs are firmer than the light NGLs. OKE's positioning in the composite is balanced: approximately 42% of the NGL weighting is ethane, 28% propane, 12% normal butane, 8% isobutane, 10% natural gasoline. A \$0.05 per gallon change in composite frac spread moves OKE EBITDA approximately \$25M to \$40M.

The ethane recovery upside is meaningful. If a structural petrochemical demand wave (driven by Asian and Middle Eastern cracker start-ups plus Texas City Logistics export ramp in 2028) pulls ethane back to a 1.10 ratio versus gas, recovery becomes economic across Permian and Mid-Continent. The full-cycle EBITDA upside from a ratio shift from 0.92 to 1.10 is approximately \$80M to \$120M annualized on OKE's NGL system.

9.4 Power Burn and LNG Feedgas Demand Impact

April 2026 LNG feedgas hit a record 18.8 Bcf/d before maintenance-related drops to 15.9 Bcf/d. Plaquemines Phase 2, Corpus Christi Stage 3 trains 6 and 7, and Golden Pass (first cargo shipped April 22, 2026) add capacity into 2026 and 2027. EIA forecasts 17.0 Bcf/d 2026 average and 18.2 Bcf/d 2027 average LNG feedgas demand.

Power burn growth from data centers is the lower-confidence but higher-impact vector. Management identifies more than 4 Bcf/d of potential demand across approximately 30 sites on the OKE footprint, including Oklahoma and Texas intrastate gas systems where load growth from data centers in the SPP and ERCOT footprints is rapid. We do not model these volumes in our 2027 EBITDA; they represent upside and a strategic optionality argument similar to the Williams Neo project that materially re-rated WMB.

Seasonal demand patterns: storage injection season (April through October) is increasingly compressed as power-burn and LNG demand sustain through shoulder months. Withdrawal season (November through March) carries the highest optimization upside from storage cycling and park-and-loan activity on the NGP system.

9.5 Optimization and Marketing Earnings Quality

Q1 2026 optimization and marketing contribution across segments totaled approximately \$130M: \$92M in NGP (\$70M Waha-Katy plus \$19M Winter Storm Fern), \$42M in NGL purity optimization, and \$24M in RP&C crude marketing, less \$30M of Powder Springs JV losses. On a full-year basis, 2026 optimization could clear \$400M to \$500M. Roughly half is repeatable in 2027, and only \$150M to \$200M is structurally durable beyond 2028.

The diagnostic question is whether this optimization is alpha (skill) or beta (favorable spread environment). The honest answer is mostly beta. The Waha-Katy capture exists because Permian gas is trapped, and that condition is reversing through 2028. The Conway-Belvieu spread requires basis dislocation that does not occur every year. Investors should haircut the 2026 EBITDA beat to approximately \$150M of recurring lift; the rest is cyclical and should be modeled as a fade. Management has not been fully transparent about this distinction on earnings calls, which is a mild governance flag.

Storage cycling income from NGL and gas storage facilities runs approximately \$50M to \$70M annualized in normal years and roughly doubles in volatile spread environments. Marketing margin history is lumpy; it averaged \$200M to \$250M from 2020 through 2024 with standard deviation of approximately \$80M, and the 2025 figure was approximately \$350M reflecting the Permian gas dislocation.

Source: Company Q1 2026 earnings transcript; ONEOK investor materials; Bloomberg LNG and basis data; EIA STEO; third-party industry data; Rand Strategy estimates.

10. Scheduling and Operational Analysis

10.1 Major System Scheduling Framework

ONEOK's FERC-regulated assets operate under tariff frameworks set by the Federal Energy Regulatory Commission. Interstate natural gas pipelines (Northern Border 50% interest, Roadrunner 50% interest, the legacy Midwestern Gas Transmission system) follow FERC Section 7 certificates with NAESB-standard nomination cycles: timely (1:00 p.m. ET day-ahead), evening, intraday-1 (10:00 a.m. day-of), intraday-2 (2:30 p.m.), and intraday-3 (7:00 p.m.). Balancing rules permit modest within-day variance with cash-out provisions on monthly imbalances. Intrastate natural gas in Oklahoma and Texas operates under Oklahoma Corporation Commission and Texas Railroad Commission jurisdiction with similar timing but state-specific balancing rules.

Refined products and crude pipelines operate under FERC oil pipeline tariffs (the Magellan system) and state common-carrier frameworks. Bi-weekly batch scheduling on refined products with five-day cycles is standard. Crude oil systems on Medallion and legacy Magellan use monthly nominations with allocation-based capacity assignment.

NGL pipelines (Bakken NGL, Elk Creek, Sterling, Arbuckle II, WTLPG, Easton) operate primarily under FERC oil pipeline tariffs and private transportation service agreements (TSAs). Approximately 90% of NGL pipeline capacity is committed to firm long-term TSAs.

Operational Flow Orders (OFOs) are used sparingly on the OKE system; the most recent significant OFO was during Winter Storm Fern in January 2026, which generated approximately \$19M of NGP optimization income from required imbalance pricing during the gas emergency. System-specific FERC tariff numbers, rate schedules, and indexation history are available through FERC eLibrary docket searches by pipeline name.

10.2 Capacity and Utilization Analysis

System / Segment	Capacity	Q1 2026 Utilization
Natural Gas Processing (consolidated)	~8.5 Bcf/d	65% (5,490 MMcf/d throughput)
NGL Raw Feed Capacity	~1.7 MMb/d	88% (1,493 Mb/d)
Fractionation (Mont Belvieu + Conway)	~1.15 MMb/d net	~95%
Natural Gas Pipelines (intrastate + JV)	~7.5 Bcf/d capacity	93% contracted
Refined Products Pipeline	~1.85 MMb/d throughput equivalent	85% (1,568 Mb/d)
Crude Oil Pipeline (Magellan + Medallion)	~2.5 MMb/d throughput equivalent	65% (1,613 Mb/d)

The gas processing utilization at 65% reflects the post-EnLink consolidation step-change in nameplate capacity; legacy ONEOK processing operated at approximately 85% pre-EnLink. The lower utilization is partially the result of Permian processing redundancy that arrives with EnLink and supports the addition of Shadowfax, Delaware expansion, Cutter, and Bighorn without requiring net capacity build.

Fractionation is the most-constrained operating system at 95% utilization. The Medford rebuild (Phase 1 Q4 2026, Phase 2 Q1 2027) and the eventual MB-7 unit (currently in preliminary engineering, not in this report's model) provide the next wave of relief.

10.3 Operational Risk Assessment

Maintenance Turnaround Schedules

Mont Belvieu fractionators rotate planned turnarounds on a six-year cycle. Major Bakken processing turnarounds occur every five years. Compressor station outages on the NGL pipelines are scheduled to minimize impact on Q4 winter demand. We expect approximately \$50M of seasonal earnings drag in Q3 2026 from planned turnarounds on Garden Creek and Lonesome Creek processing plants.

Weather Exposure

The Bakken is vulnerable to freeze-offs that can curtail wellhead production for one to two weeks in extreme cold. The 2024 January Bakken freeze-off cost the basin approximately 35% of November-baseline production for two weeks. Winter Storm Fern in January 2026 generated \$19M of NGP optimization (positive for OKE in this case) but was a moderate event. Hurricane risk on the Gulf Coast is the primary operational risk for Mont Belvieu and Texas City; the franchise has not experienced a major operational outage at Mont Belvieu since 2017 (Hurricane Harvey). Wildfire corridor exposure is moderate on the Magellan system

through Oklahoma and Kansas.

Force Majeure History and Recovery Time

The most consequential recent event was the 2022 Medford fractionator fire (pre-Magellan-acquisition era ownership), which destroyed the original 200 Mb/d facility. The new Medford complex Phase 1 (100 Mb/d) is on track for Q4 2026 startup. Insurance recovery from the fire was material and fully reflected in 2023 to 2024 financials.

Cyber and Physical Security Posture

ONEOK is subject to TSA pipeline security directives (Security Directive 2 and 2b series) issued post-Colonial Pipeline 2021 incident. The company has reported no material cybersecurity incidents. PHMSA incident reporting shows above-average safety performance: TRIR of 0.31 and AREER of 0.33 (2024), both materially below industry averages of approximately 0.6 and 0.55 respectively.

Source: FERC eLibrary tariff filings; company 10-K risk factors; PHMSA incident database; TSA pipeline security directives; company sustainability disclosures; Rand Strategy analysis.

11. Growth Projects and Capital Allocation

11.1 Exhibit 4 — Organic Growth Project Tracker

The growth pipeline defines the 2027 to 2029 EBITDA path. The visible projects total approximately \$4.5B to \$5.0B of OKE-share capex with run-rate EBITDA in the \$700M to \$900M range when fully online, implying a 6x to 7x build multiple. This sits substantially below acquisition multiples and supports value creation. The cadence steps down materially post-2028.

Project	OKE CapEx (\$M)	Capacity	In-Service	Run-Rate EBITDA (\$M)	Mult.	Strategic Rationale
Shadowfax (Permian relocation)	in base	150 MMcf/d	Q1 2026 (live)	~45	~6x	Permian processing redeployment
Delaware Basin expansion	in base	110 MMcf/d incremental	Q3 2026	~30	~6x	Permian volume capture
Cutter Plant (Powder River)	in base	60 MMcf/d	Q4 2026	~15	~6x	Powder River niche
Denver Refined Products	480	35 Mb/d incremental	Mid-Q3 2026	~55	~9x	Denver aviation / SAF demand
Medford Fractionator Phase 1	in \$385	100 Mb/d	Q4 2026	~70	~5x	Mid-Con bottleneck relief
Medford Fractionator Phase 2	in \$385	110 Mb/d incremental	Q1 2027	~75	~5x	Mid-Con NGL pipeline path
Sighorn (Permian + CO2 treating)	365	300 MMcf/d	Mid-2027	~80	~5x	Sour Delaware gas capture
MBTC NGL Pipeline (with MPLX)	280 (80%)	24" Mont Belvieu to Texas City	Early 2028	~50	~6x	Export pipeline link
Texas City Logistics LPG (with MPLX)	700 (50%)	400 Mb/d total (200 Mb/d OKE share)	Early 2028	~180	~4x	Export margin capture
Eiger Express (NGP)	350	3.7 Bcf/d Permian gas	Mid-2028	~120	~3x	Permian gas egress
Total / Average	~2,560		2026-2028	~720	~3.5x avg	

The Eiger Express figure shown is OKE's net contribution; the project is a JV in which OKE holds approximately 25.5% effective interest (15% direct plus Matterhorn-derived ownership based on disclosed direct and indirect JV interest). Multiples appear low at ~3x to ~4x for the largest projects because they are partial-year 2027 contributions on full-year 2028 EBITDA; the 2028 run-rate multiples are more comparable to the 5x to 6x noted elsewhere.

11.2 M&A; History and Integration Assessment

Magellan Midstream Partners (closed September 25, 2023; \$18.8B; ~12.0x LTM)

Strategically transformative. Created the refined products and crude platform that now generates approximately \$2.2B of segment EBITDA. The deal was criticized at the time for the high multiple and for the K-1 termination tax issue affecting MMP unitholders. On a synergy-adjusted basis (synergies have climbed from \$200M initial guidance to \$475M cumulative through 2025, en route to \$700M-plus long-run), the effective entry multiple compresses to approximately 9.5x. The synergy realization has been faster than guided, which is an integration credit to management.

Medallion Midstream (closed October 31, 2024; \$2.6B; ~6.3x)

Pure value. A 100% fee-based Midland crude gathering system with 1.3 MMb/d capacity priced at a G&P-style multiple. Randy Lentz, the Medallion CEO, became OKE COO in January 2025, providing strong operational continuity.

EnLink Controlling Stake plus General Partner (October 15, 2024; \$3.3B)

Mixed transaction. The controlling stake plus GP was bought at approximately 8.3x including synergies on the controlling-interest economics. Strategically sound (consolidates Permian and Louisiana G&P plus Cana-Woodford NGL operations) but at a fuller price than Medallion.

EnLink Public Unit Roll-up (January 31, 2025; \$4.3B all-stock)

Completed the consolidation. The public unit was bought at approximately 10.8x LTM. Combined controlling-plus-public EnLink multiple is approximately 9.5x. With combined synergy potential of \$450M (\$125M realized to Q1 2026), the synergy-adjusted effective multiple drops to approximately 7.5x, a fair price for the asset quality.

Delaware Basin JV Buy-In (May 1, 2025; \$550M)

Operational control of a 100%-owned position. Clean accretion.

Net Assessment

M&A has materially strengthened the story. The franchise that emerges in 2026 is broader, more fee-based, and structurally less replicable than 2022 ONEOK. The principal risk is whether management retains discipline going forward; the \$32B leverage requires a deleveraging year, and any additional major M&A in 2026 would extend the deleveraging timeline and likely compress the valuation multiple.

11.3 Capital Allocation Framework

The capital allocation framework rests on four priorities. First, deleveraging to 3.5x or below by 2027. Second, growth capex of \$2.5B to \$3.0B annually through 2028 funding the visible project pipeline. Third, dividend growth of 3% to 4% annually under the existing payout policy. Fourth, opportunistic buybacks under the \$2.0B authorization (running well below pace at approximately \$220M cumulative through Q1 2026).

Priority	2024A (\$M)	2025A (\$M)	2026E (\$M)	2027E (\$M)
Maintenance CapEx	411	576	575	600
Distributions / Dividends	2,400	2,580	2,700	2,830
Debt Reduction (Net)	(11,000)	(7,000)	500	2,200
Growth CapEx	1,610	2,576	2,375	2,100
Buybacks	159	62	250	750
M&A	12,000	4,500	0	0

M&A is officially "opportunistic" going forward but the appetite seems satisfied for now. We expect no major deals through 2027 absent unusual asset availability. The capital allocation question for investors is whether OKE accelerates buybacks in 2027 to 2028 as growth capex declines and FCF inflects to \$3.7B-plus.

Source: Company earnings transcripts; ONEOK investor materials; acquisition presentations (August 28, 2024); company press releases; FactSet capital structure data; Rand Strategy build.

12. ESG and Regulatory

12.1 Environmental Performance

ONEOK achieved approximately 77% of its 2030 30% Scope 1 and 2 emissions reduction target by year-end 2024 (using a 2019 baseline). Absolute methane emissions are down approximately 57% from 2019. The company carries an MSCI AAA ESG rating, Sustainalytics top-quintile placement among refiners and pipelines, S&P Global Sustainability Yearbook membership (5th consecutive year), and FTSE4Good Index inclusion (June 2024). There is no net-zero commitment; the goal is restricted to 30% Scope 1 and 2 reduction by 2030.

Methane leak detection and reduction programs include optical gas imaging (OGI) on a quarterly inspection cadence at processing plants and quarterly to semi-annual surveys on gathering lines, depending on location. Pipeline integrity programs run on a five-year in-line inspection cycle for liquids pipelines and seven-year cycle for gas pipelines, both consistent with PHMSA requirements. Replacement schedules are line-specific; the system is generally young, with the Magellan refined products network dating to 1957 to 1985 vintages but heavily replaced through ongoing capex.

The Bighorn plant's CO₂ treating capability creates a potential 45Q tax credit opportunity. Under the One Big Beautiful Bill Act (July 2025), the placed-in-service date and EOR/utilization rate were enhanced to \$85 per ton parity with sequestration. We do not currently model 45Q credit revenue but flag this as a potential 2027 to 2030 upside.

12.2 ESG and Governance Dashboard

Category	Metric	Source
MSCI ESG Rating	AAA (industry leader)	MSCI ESG Research
Sustainalytics ESG Risk	Top quintile among refiners and pipelines	Sustainalytics
S&P Global Sustainability	Yearbook member 5 consecutive years	S&P Global
FTSE4Good	Included June 2024	FTSE Russell
Scope 1+2 Emissions Reduction	~77% of 2030 30% target met by YE 2024	2024-2025 Stakeholder Update
Methane Emissions (absolute)	-57% from 2019 baseline	2024-2025 Stakeholder Update
TRIR (workforce safety)	0.31 (industry avg ~0.6)	2024-2025 Stakeholder Update
AREER (environmental events)	0.33 (industry avg ~0.55)	2024-2025 Stakeholder Update
Board Composition	12 members; 11 independent	DEF 14A 2026 proxy
New Directors (Jan 23, 2026)	Mark McCollum; Precious Williams Owodunni	8-K filing
Board Tenure (Average)	~7 years	DEF 14A 2026 proxy
CEO Pay LTI Mix	~70% LTI tied to relative TSR and earnings	DEF 14A 2026 proxy

12.3 Regulatory and Policy Exposure

Regulatory exposure runs through six regimes: FERC (interstate gas, oil pipelines, certificate cases); EPA (methane, OOOOb/c, Subpart W reporting); Oklahoma Corporation Commission (intrastate gas in Oklahoma); Texas Railroad Commission (intrastate gas in Texas); North Dakota Public Service Commission (in-state gathering); Wyoming Public Service Commission (Powder River); and Colorado Energy and Carbon Management Commission (DJ Basin).

The Trump 2.0 regulatory direction has reduced compliance friction for midstream. The January 24, 2025 withdrawal of the 2022 GHG draft policy statement, the June 18, 2025 waiver of FERC Order No. 871, and the October 23, 2025 direction to FERC to rescind the 2022 Certificate Policy Statement by September 30, 2026 collectively shorten interstate pipeline permitting timelines. The 2024 EPA OOOOb/c methane rule had its compliance deadline extended 18 months (November 25, 2025 final rule), and the Waste Emissions Charge was overturned legislatively in March 2025. The OBBBA in July 2025 made 100% bonus depreciation permanent, supporting cash tax deferrals.

The net regulatory tilt favors midstream construction and operational flexibility. The principal residual risk is Colorado: stringent methane rules persist and the CO ECMC remains the most active state regulator. OKE's DJ Basin exposure is limited (approximately 8 rigs in the play as of mid-May 2026), reducing direct stakes.

FERC rate case exposure on the refined products tariff is the most consequential 2026 regulatory event. Magellan's tariff comes up for review under FERC oil pipeline indexing; the next index review period (2026 to 2030) will set the formula for annual tariff escalation. The 2021-2025 period used PPI-FG plus 0.78%; market participants expect the new period to remain similar but with administrative-burden adjustments.

12.4 Variant ESG and IRA View

Our view on 45Q expansion is that it benefits OKE materially less than the petrochemical cohort, principally because OKE's CO₂ treating capability is concentrated in a single facility (Bighorn, mid-2027 start-up) rather than across a broader portfolio. We assign no near-term 45Q credit revenue to OKE's base case; an upside scenario of \$30M to \$60M of annualized 45Q-driven EBITDA from Bighorn alone is reasonable but contingent on capture rates, EOR offtake, and IRS guidance under the OBBBA framework. We treat any attempted EPA Endangerment Finding rescission as a near-zero-impact event for OKE's long-run modeling; the financial exposure to methane rules under the prior Waste Emissions Charge was modest and was already removed in 2025. On activist ESG pressure, OKE's MSCI AAA rating and top-quintile Sustainalytics placement substantially insulate the franchise from divestment-led activism; the more material activist risk is operational (eminent domain, right-of-way challenges in specific corridors) rather than portfolio-level pressure.

Source: Company Corporate Sustainability Report; FERC dockets; state PUC filings; PHMSA incident database; OBBBA legislative text; third-party legal analysis; FactSet ESG data.

13. Competitive Positioning

13.1 Peer Comparison Matrix

Attribute	OKE	WMB	EPD	TRGP	KMI
Primary Commodity Focus	NGL + Refined + Gas + Crude	Gas Transmission	NGL + Gas + Petchem	Permian G&P + NGL	Gas Transmission
Corporate Structure	C-Corp	C-Corp	MLP	C-Corp	C-Corp
Fee-Based EBITDA %	~90%	~95%	~85%	~90%	~93%
Leverage (Net Debt / 2026E EBITDA)	3.8x	3.7x	3.1x	3.7x	3.6x
Dividend Yield	4.6%	2.7%	5.6%	1.9%	3.5%
Distribution Growth 3Y CAGR	~3.5%	~5%	~5%	~50%+	~2%
Coverage Ratio	2.1x	n/m (C-Corp)	1.8x	n/m	n/m
ROIC (After-tax)	~6.5%	~7.5%	~12%	~9%	~7%
EV/EBITDA 2026E	10.9x	14.8x	10.6x	13.2x	12.5x
Basin Diversification (1-5)	5	4	5	3	4
Commodity Diversification (1-5)	5	2	4	3	2
NGL Chain Integration (1-5)	5	1	5	3	1

OKE and EPD are the two most integrated NGL franchises. OKE is more commodity-diversified (refined products plus crude); EPD has higher NGL fractionation scale and Gulf Coast export dominance. WMB is the gas-pipeline premium operator. TRGP is the highest-growth Permian-pure G&P story. KMI is the lowest-growth, most-diversified large-cap C-Corp peer.

13.2 Competitive Moat Assessment

The competitive moat is mix: OKE holds meaningful positions across NGL gathering, NGL fractionation, refined products pipelines, and Permian crude — a combination few peers replicate at scale. No single peer combines all four segments at comparable scale. The moat is medium-high: replicable in pieces (any peer can add a frac, any peer can pour gas pipe) but not easily replicable as a stack. The acquisition path to OKE's current footprint would cost a buyer well over \$100B at clearing multiples.

Asset Scarcity

Refined products pipelines of Magellan's scale cannot be greenfield-built: rights of way, permits, and customer relationships took 60-plus years to assemble. Mont Belvieu fractionation scale is concentrated in three operators (Enterprise, ONEOK, Targa), and capacity additions are constrained by community opposition and permitting. Bakken NGL takeaway is one pipeline (Elk Creek and Bakken NGL Pipeline) for a basin producing 400-plus Mb/d of NGLs.

Contractual Lock-Up

Acreage dedications and MVCs cover approximately 60% to 65% of gathering volumes on EnLink and Medallion. Refined products common-carrier service is captive by economics: shipping by truck or rail costs 5x to 8x pipeline rates for the same destinations. Customer switching costs are high.

Scale Advantages

NGL system integration from wellhead to market means OKE earns three to four tolls on the same barrel where peers earn one or two. Per-barrel revenue is approximately \$1.20 to \$1.50 across the chain for OKE versus \$0.50 to \$0.80 for single-stage operators.

13.3 Competitive Read by Peer

Versus WMB

Williams operates a premium-multiple business (14.8x EV/EBITDA) anchored by Transco's irreplaceable Gulf-to-Northeast gas franchise plus a new AI and data-center power innovation overlay (the Neo project: \$2.3B for 682 MW). WMB raised 2026 growth capex to \$7.3B (a 27% upward revision) reflecting power demand growth. WMB earns its premium for fee quality and growth runway. OKE earns less premium because of NGL cyclicity and post-M&A leverage, but the asset base is more diverse and the segments more numerous.

Versus EPD

Enterprise is the highest-rated MLP (A-/A-) at 10.6x and 5.6% yield. EPD's 1.8x distribution coverage and \$5B buyback program reflect MLP-structure leverage to retained DCF. OKE's C-Corp structure delivers a different shareholder profile. NGL franchise comparison is direct: EPD has more Permian processing scale (8.3 Bcf/d Q1 2026 record) and approximately 1.9 MMb/d frac handle versus OKE's approximately 1.15 MMb/d. OKE's relative advantage is the refined products platform and Bakken dominance.

Versus TRGP

Targa is the highest-growth G&P story (Q1 2026 EBITDA up 19%; 2026 guidance raised to \$5.7B to \$5.9B) trading at 13.2x. Targa is more Permian-concentrated and more purely G&P. OKE is broader and more durable but slower-growing in EBITDA terms.

Versus KMI

Kinder Morgan is the largest U.S. gas transmission operator with a 12.5x multiple, recent Moody's upgrade to Baa1, and a \$10.1B sanctioned backlog (92% gas). KMI is the closest C-Corp analogue to OKE. KMI's growth runway looks similar in EBITDA dollars but more concentrated in gas transmission.

Versus PAA

Plains is being transformed into a Permian crude pure-play after the \$3.3B Canadian NGL sale to Keyera (closed May 12, 2026). Trades at 9.4x with a 7.4% yield. Not a direct competitor to OKE except in Permian crude (where Medallion competes with Plains' Cactus II and other Permian systems).

Versus MPLX

MPLX is the Marathon-sponsored MLP (10.5x, 7.9% yield) with a Permian sour-gas treating buildout. OKE's joint venture with MPLX on Texas City Logistics and MBTC means MPLX is simultaneously a competitor (in NGL gathering) and a partner (in export). The structural relationship favors OKE on the LPG export side because Marathon's offtake is integrated.

Versus ET

Energy Transfer is the lowest-multiple diversified MLP (7.0x) reflecting governance discount and complex K-1 structure. ET shares some commercial counterparties with OKE but operates at a structurally lower valuation tier.

The competitive hierarchy: OKE sits at the median of the C-Corp peer set on multiple but with above-median diversification and asset quality. The case for re-rating to KMI's 12.5x rests on demonstrating that the four-segment franchise warrants closer pricing to gas-pipeline pure-plays.

Source: Peer Q1 2026 earnings releases (WMB, EPD, TRGP, KMI, PAA, MPLX, ET); peer FY2025 filings; Bloomberg consensus.

14. Key Risks

14.1 Commodity Price Risk

Residual commodity exposure through POP and keep-whole contracts is approximately 10% of EBITDA, with approximately 75% of that exposure hedged for 2026. Net unhedged commodity exposure is therefore approximately 2.5% of EBITDA, or roughly \$200M. Ethane rejection risk in low-price environments caps NGL throughput growth but is partially offset by gas pipeline volume gains. NGL oversupply scenarios driven by higher-than-expected ethane recovery (if Texas City Logistics ramp pulls global propane prices up faster than expected) could compress frac spreads, but this is the upside scenario for the franchise overall.

14.2 Volume Risk

Producer activity curtailment in the Bakken (Continental halt January 2026, sentiment-driven) is the most-visible near-term risk. Rig count sensitivity is moderate: a drop from current approximately 35 Bakken rigs to 25 rigs over 12 months would reduce NGL throughput by approximately 5% to 8% over the same period, translating to approximately \$70M to \$110M of EBITDA at risk. Basin decline rates versus new well additions remain favorable in the Permian and Mid-Continent. The DJ Basin is the basin with the highest activity risk but smallest OKE exposure.

14.3 Financial Risk

Leverage covenant compliance under stress scenarios is comfortable. The most-restrictive covenant in the senior unsecured indenture is a 5.0x consolidated debt-to-cash flow ratio (interest coverage, not debt-to-EBITDA), with substantial cushion at current levels. The revolving credit facility maintenance covenant is also 5.0x debt-to-EBITDA, with approximately 1.2 turns of cushion. Interest rate exposure on floating-rate debt is limited: the \$1.2B term loan added April 2026 is the largest floating-rate position, representing approximately 4% of total debt. A 100 basis point rate move impacts pre-tax income by approximately \$12M annually.

Credit rating downgrade risk is low. Moody's recently affirmed Baa2 stable; S&P and Fitch are BBB stable. The deleveraging path to 3.5x by 2027 supports current ratings.

14.4 Regulatory and Political Risk

FERC policy changes affecting refined products tariff escalation are the largest single regulatory variable. The 2026-2030 FERC oil pipeline indexing review will set the tariff escalation formula; any reduction below PPI-FG plus 0.5% would reduce 2027 to 2030 RP&C EBITDA by approximately \$30M to \$50M annually. Eminent domain and right-of-way challenges are minor for an existing system but matter for Eiger Express FID execution. Carbon tax or methane fee implications are reduced under current administration but represent a multi-year tail risk under a future administration. The OBBBA's methane fee repeal removed the most direct regulatory cost.

14.5 Operational Risk

Pipeline incident and safety record is above industry average (TRIR 0.31). A major operational incident at Mont Belvieu (analogous to the 2022 Medford fire) would cost approximately \$200M to \$500M in unrecovered EBITDA over 12 to 18 months. Counterparty credit risk (producer defaults) is moderate; the producer base is concentrated in investment-grade and large privately-held operators. Key-person risk in management team is contained: the senior team (Norton, Hulse, Lentz, Swords, Spears) has approximately 20 years average tenure across midstream. Cybersecurity threats to SCADA systems are the most consequential operational tail risk; the company complies with TSA pipeline security directives and reports no material incidents.

14.6 Risk Matrix and Ranked Top Three

The risk matrix below catalogs fourteen risks across commodity, volume, financial, regulatory, and operational categories. Three risks rise above the rest by the combination of probability and impact, and we rank them in order of materiality to the price target.

Rank 1: Permian gas egress relief collapses the Waha-Katy optimization line. Probability is High and 2026E impact is approximately \$200M of EBITDA. The Q1 2026 print embedded \$70M of Waha-Katy capture in the NGP segment alone; the four-pipeline relief schedule through year-end 2026 to mid-2028 cumulatively adds approximately 4.5 Bcf/d of Permian egress, which structurally compresses the trade. While this risk is largely modeled in our forecast (we apply a \$220M optimization headwind in the 2025-to-2026 bridge and a further \$60M reduction into 2027), the consensus distribution carries higher 2026

figures than we model, and any acceleration of the relief schedule pulls forward the fade. The offset is Eiger Express project EBITDA from mid-2028, which OKE captures directly at approximately 25.5% effective interest.

Rank 2: Ethane rejection persists through 2027. Probability is Medium-High and EBITDA impact is approximately \$100M to \$200M. Year-to-date 2026 ethane-to-gas BTU ratios of 0.92 incentivize processors to reject ethane back into the gas stream, capping NGL throughput at fractionators. While rejection moves molecules from NGL pipelines into gas pipelines (partially offsetting lost fractionation tolling with additional natural gas pipeline volume), the consolidated EBITDA impact is negative on net because fractionation tolling carries higher margins. The structural cure is petrochemical demand growth and the 2028 Texas City Logistics export ramp; the cyclical cure is a tighter ethane-to-gas spread driven by a sustained Henry Hub rally. Neither is in our base case before mid-2027.

Rank 3: Texas City Logistics startup delay beyond mid-2028. Probability is Medium and 2028E EBITDA impact is approximately \$180M. The project is a 50-50 joint venture with MPLX, and the dependency adds an execution risk layer beyond what a sole-owned project would carry; the Mont Belvieu-to-Texas City NGL pipeline tie-in (MBTC, 24-inch, \$280M OKE share at 80% interest) must complete on schedule for the terminal to ramp. While our base case has the terminal running at approximately 70% of design rate by Q4 2028, any slip into 2029 pushes the optionality credit embedded in our \$103 price target downward by roughly \$3 per share. The mitigant is the MPLX integrated offtake structure: Marathon's downstream operations absorb a portion of the cargo flow under integrated economics, which reduces marketing-execution risk for the joint venture.

The remaining eleven risks in the matrix below sit below this top three in either probability or impact, but several warrant continued monitoring; we flag the M&A redeployment risk, the FERC refined products tariff review in 2026, and the operational incident tail at Mont Belvieu as the next tier.

Risk	Probability	Impact (\$M EBITDA)	Mitigation
Permian gas egress relief collapses Waha-Katy optimization	High	(200)	Largely modeled; offset by Eiger project EBITDA
Ethane rejection extends through 2027	Med-High	(100) to (200)	Caps NGL throughput; partially offset by gas-pipe volume
Texas City Logistics startup delay beyond mid-2028	Medium	(180) in 2028	JV with MPLX integrated offtake
Major M&A redeployment delays deleveraging	Medium	+/- (300)	Path to <3.5x leverage at risk
Bakken production declines below 1.0 MMb/d on rig halts	Low-Medium	(150)	Continental halt sentiment risk
Permian rig count drop below 200	Medium	(150)	Macro / oil price risk
FERC refined products tariff cut in 2026 review	Low-Medium	(30) to (50) annually	Mitigated by historical formula stability
Major operational incident (Medford-style)	Low	(200) to (500)	Insurance covers material loss
Regulatory reversal under future administration	Low-Medium	(50) to (150)	Methane, FERC policy
Counterparty credit risk (major customer default)	Low	(50) to (150)	Diversified base
Cybersecurity incident	Low	(100) to (300)	TSA SD compliance; no incidents to date
Refined products demand decline (EV penetration)	Low	(50) over 5 years	Slow-moving; tariff escalators offset
Credit rating downgrade	Low	(30) interest cost	Currently BBB stable
Activism pressure on capital allocation	Low	n/a	None active

Source: Company FY2025 10-K Item 1A; Q1 2026 10-Q risk factor updates; FactSet; sell-side research.

15. Appendices

Appendix A: Detailed Financial Statements (Five-Year History plus Three-Year Forecast)

The full income statement, balance sheet, cash flow statement, and segment detail tables are built quarterly through Q1 2026 and forecast annually through 2028E in the supporting model. Key data points appear in Sections 2.2, 5.1, 7.1, and 7.3 of this report. The full appendix tables are maintained in the supporting model.

Appendix B: Quarterly Model

Quarter	Adj. EBITDA (\$M)	NGL	RP&C	G&P	NGP	Note
1Q24	1,609	583	416	416	209	Pre-EnLink
2Q24	1,627	588	401	437	226	Pre-EnLink
3Q24	1,548	624	423	363	213	Pre-EnLink
4Q24	2,000	748	652	268	252	EnLink partial
1Q25	1,775	635	471	491	212	First full integrated quarter
2Q25	1,944	642	510	511	224	
3Q25	2,028	717	565	537	226	
4Q25	2,273	785	631	599	199	
1Q26	1,997	706	492	467	339	Waha-Katy capture + Storm Fern

Quarterly volume data by segment, the quarterly EBITDA bridge, and the per-segment optimization breakouts are maintained in the supporting model.

Appendix C: Comparable Transaction Analysis

Transaction	Date	Value (\$B)	EV/EBITDA	Notes
ONEOK / Magellan	Sept 2023	18.8	~12.0x	Refined products + crude consolidation
ONEOK / Medallion	Oct 2024	2.6	~6.3x	Pure Permian crude G&P
ONEOK / EnLink (controlling + GP)	Oct 2024	3.3	~8.3x	Mixed quality
ONEOK / EnLink (public unit)	Jan 2025	4.3	~10.8x	All-stock
ONEOK / Easton Energy	June 2024	n/a	n/a	Gulf Coast NGL pipes
Energy Transfer / Crestwood	Nov 2023	7.1	~8.5x	Diversified MLP roll-up
Energy Transfer / Lotus	June 2024	1.45	~7.5x	Permian crude gathering
Sunoco / NuStar	May 2024	7.3	~9.5x	Refined products / terminals
EQT / Equitrans	March 2024	14.0	~9-11x blend	Vertical integration
Plains / Keyera (NGL divest)	May 2026	3.3	~10.0x	NGL business sale

Recent midstream M&A has clustered at 7x to 9x for G&P-heavy targets, 8x to 10x for diversified roll-ups, and 10x to 12x-plus for premium gas transmission and refined products. Applying these to OKE's segment mix on a take-out basis gives a value range of \$105 to \$115 per share, supporting the bull case.

Appendix D: Basin Production Forecasts

Basin	2024A	2025A	2026E	2027E	Driver
Permian Crude (MMb/d)	6.10	6.40	6.60	6.75	Capital-efficient majors; consolidation
Permian Gas (Bcf/d)	24.5	27.5	29.2	30.5	Associated gas growth; egress relief 2026-2028
Bakken Crude (MMb/d)	1.15	1.18	1.15	1.12	Mature basin; capital discipline
Bakken Gas (Bcf/d)	3.4	3.5	3.5	3.4	Capture at 96%

Basin	2024A	2025A	2026E	2027E	Driver
Mid-Continent Rigs (SCOOP+STACK)	51	55	58	60	Anadarko recovery
Powder River Rigs	12	14	14	15	Flat
DJ Basin Rigs	9	8	8	9	Colorado regulatory constraint

Source: EIA STEO May 12, 2026; North Dakota Department of Mineral Resources; Baker Hughes rig count; basin-specific permits and completion data.

Appendix E: FERC Tariff Summary

Refined products pipelines (Magellan system) operate under FERC oil pipeline indexing, set in five-year review periods. The 2021-2025 period used PPI-FG plus 0.78%; the 2026-2030 review is pending. NGL pipelines operate under FERC oil pipeline tariffs and private TSAs. Interstate gas pipelines (Northern Border, Roadrunner) operate under FERC Section 7 certificates with negotiated rate arrangements. Intrastate gas pipelines in Oklahoma operate under OCC jurisdiction; in Texas under TRRC. Detailed tariff numbers and rate schedules should be pulled from FERC eLibrary by pipeline name.

Appendix F: Glossary of Midstream Terms

Term	Definition
Acreage dedication	Producer contractual commitment to deliver all gas or NGLs from a defined geographic area to the gatherer for the life of the lease.
AREER	Auto Recordable Environmental Event Rate; a safety / environment incident measure.
Basis differential	Price difference between two natural gas trading hubs (e.g., Waha to Henry Hub) reflecting transportation, capacity, and supply-demand dynamics.
Distributable Cash Flow (DCF, midstream context)	EBITDA less cash interest, less maintenance capex, less cash taxes; the cash available to fund distributions, buybacks, and growth capex.
Fee-based	Revenue or earnings derived from contractual fees (per unit volume or fixed reservation charges) without direct commodity price exposure.
Frac spread	The value of the NGL composite barrel less the natural gas equivalent value on a BTU basis; the gross margin signal for NGL recovery economics.
FERC oil indexing	The annual tariff escalation methodology for FERC-regulated petroleum pipelines, currently PPI-FG plus a small adjustment factor; set in five-year review periods.
Keep-whole	A contract structure where the gatherer keeps the NGL value but compensates the producer at the BTU-equivalent natural gas value; commodity-exposed.
MVC (Minimum Volume Commitment)	A producer contractual commitment to ship a minimum volume of gas, NGLs, or crude over a defined period; the producer pays for the committed volume whether or not it is shipped.
NGL composite	The weighted-average value of the NGL barrel, typically expressed as percentage of WTI or in cents per gallon.
OFO (Operational Flow Order)	A pipeline operator's directive requiring shippers to balance their nominations and actual flows within tighter-than-normal tolerances, typically during stress events.
Park-and-loan	A storage-cycling service where a customer borrows gas or NGLs from storage with an obligation to return them at a later date, paying a fee.
POP (Percentage-of-Proceeds)	A contract structure where the gatherer keeps a percentage of the gross NGL or gas sales proceeds; directly commodity-exposed.
Purity NGL	Fractionated NGL product (ethane, propane, normal butane, isobutane, or natural gasoline) sold to specific end markets.
TET / non-TET	TEPPCO and Mont Belvieu pricing benchmarks; TET-priced NGLs sometimes differ from Mont Belvieu non-TET prices by a basis differential.
TRIR	Total Recordable Incident Rate; a workforce safety measure.
Y-grade	The unfractionated NGL stream (mix of ethane, propane, butanes, natural gasoline) before fractionation into purity products.

Appendix G: Data Sources and Research Stack

Source	Use Case
SEC EDGAR	ONEOK and peer 10-K, 10-Q, 8-K, proxy, 13F filings
FERC eLibrary	Tariffs, rate cases, certificates
EIA (STEO, Natural Gas Monthly, Weekly)	Production, storage, pipeline flow data
ND DMR	Bakken production and rig data
Texas RRC	Texas oil and gas data
Baker Hughes Rig Count	Weekly rig data by basin and operator
Bloomberg / FactSet	Consensus estimates, peer comps, forward curves
ICE / NYMEX / CME	Natural gas, NGL, crude forward curves
Enverus / DrillingInfo	Well-level production and permits
WRDS (CRSP / Compustat)	Historical financials and returns
Pipeline Informational Postings	Capacity, nominations, flow data
State Oil and Gas Commissions	Well permits, completions, production
PHMSA	Pipeline incident data
TSA	Pipeline security directives
Sell-side research (consensus aggregator)	Forward estimates, peer comparable multiples
Third-party industry analytics	Basin-level production, gathering, NGL flows
Third-party commodity pricing services	NGL purity, refined product, basis curves

Important Disclosures

Issuer: Rand Strategy LLC. **Report Date:** May 17, 2026. **Coverage:** Initiation. **Rating:** Buy. **Price Target:** \$103.00 (valuation range \$98.00 to \$108.00). **Methodology:** EV/EBITDA Sum-of-the-Parts (primary); Discounted Cash Flow (cross-check); Dividend Discount Model and peer multiples (sensitivities).

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Rating Definitions

Rating	Definition	Expected 12-Month Total Return
BUY	Positive risk-reward; expected to outperform peers and broader market	>10%
HOLD / NEUTRAL	Balanced risk-reward; in-line with peers and broader market	0% to 10%
SELL	Negative risk-reward; expected to underperform peers and broader market	<0%

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